OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

IRELAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

NOVEMBER 1975

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousand sq. km)	70
Agricultural area, 1973, as per cent of total area	69

Population of major cities, with suburbs, 1971 census (thousands):	
Dublin, Co. Borough	680
Cork, Co. Borough	134
Dun Laoghaire, Co. Borough	99
Limerick, Co. Borough	64

THE PEOPLE

Population (April 1974)	3 086 000
No. of inhabitants per sq. km	45
Increase in population:	
Annual average 1961-71	18 850
Natural increase in population:	
Annual average 1966-71	29 630

Emigration:	
Annual average 1966-71	10 782
Annual average per thousand of population	3.7
Labour force total, April 1974	1 122 000
Civilian employment in:	
Agriculture, forestry and fishing	254 000
Industry and construction	326 000
Other sectors	467 000

THE GOVERNMENT

Public current expenditure on goods and services, 1974 (as per cent of GNP)	17
General government current revenue 1973-74 (as per cent of GNP in 1973)	37
Public debt, 31st March 1974 (as per cent of central government current revenue 1973-74)	185

Composition of Parliament (March 1974):	seats
Fianna Fail	68
Fine Gael	55
Labour	19
Others	2

Last election: February, 1973

FOREIGN TRADE

Exports:	
Exports of goods and services, as per cent of GNP, 1974	43
Main exports, 1974 (per cent of total):	
Meat and meat preparations	16
Machinery and electrical goods	9
Dairy products and eggs	8
Textile manufactures	7
Live animals	6
Clothing	4
Metal ores and scrap	3
Medicinal products	3
Main customers, 1974 (per cent of total):	
United Kingdom	56
Other European Economic Community	18
United States	9

Imports:	
Imports of goods and services, as per cent of GNP, 1974	59
Main imports, 1974 (per cent of total):	
Machinery and electrical goods	17
Petroleum and products	13
Textile manufactures	6
Iron and steel	4
Main suppliers, 1974 (per cent of total):	
United Kingdom	47
Other European Economic Community	22
United States	6

THE CURRENCY

Monetary unit : Irish pound

Currency unit per US dollar, average of daily figures:	
Year 1974	0.43
October 1975	0.49

NOTE An international comparison of certain basic statistics is given in an annex table.

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IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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The annual review of Ireland
by the OECD Economic and Development Review Committee
took place on 31st October, 1975.

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INTRODUCTION

Demand and activity weakened markedly in 1974, leading to what is currently the deepest recession experienced in Ireland in the postwar period. For the year as a whole domestic demand fell by 1.3 per cent in 1974, compared with a rise of 8.8 per cent in the previous year. A larger decline in domestic demand is expected this year. Unemployment has risen sharply since mid-1974 and in July this year the rate of the insured workforce was about 12 per cent. Inflationary forces strengthened in the first half of this year, and the rate of increase in the Consumer Price Index was among the highest recorded in the OECD area. Wage increases under the National Pay Agreements have been substantial and wage pressures remain particularly strong despite the weakness in activity and the high level of unemployment. Aggravated by the rise in oil prices in 1973, the current external deficit increased fourfold last year to the equivalent of about 10 per cent of GNP, but recent trends indicate a marked reduction in the deficit in 1975.

At the time of the 1974 budget, the outlook was for a sharp slowdown in the growth of real output from the high rate in 1973, but GDP was expected nevertheless to rise by about 3 per cent. As this was below the estimated growth rate of capacity, implying increased unemployment, the budget provided a considerable fiscal boost to demand. Monetary policy in 1974 was operated to accommodate the budget measures. In the event, however, the external deflationary forces were much stronger and lasted longer than had officially been expected. Further expansionary measures were announced in the 1975 budget and in June. Despite this action, however, demand and activity are likely to remain weak in 1976 with unemployment rising further. Reflecting the efforts to cushion the rise in unemployment last year and this, the public sector deficit has risen sharply to about 20 pei cent of GNP, and is now posing a difficult policy dilemma.

Part I of this Survey reviews developments in 1974 and 1975 in demand and output, the labour market, wages and prices and the external sector, while economic policies are examined in Part II. The Survey concludes with a discussion in Part III of the prospects for 1976 and of the main policy considerations.

I DEVELOPMENTS IN 1974 AND 1975

Weakening demand

The rapid expansion of domestic demand which developed in 1972 began to slow down in 1973. Just as the upswing had been led by private consumption, this was the first major component of final domestic demand to show signs of weakness. The volume of retail sales levelled off in the second half of 1973, but in 1974 and the early part of this year the rate of decline accelerated (see Diagram 1). The main factor explaining the fall in consumer demand in 1974 was a sharp loss in real personal disposable incomes, largely reflecting reduced employment and a decline of nearly 25 per cent in real agricultural incomes. A downturn in the demand for consumer durables was probably reinforced by restrictions on lending to the private sector in the second quarter of last year. Within the total of consumer durables, the oil crisis has had a marked effect on registrations of new motor vehicles

Table 1 **Expenditure on GNP**

	1974 £ million	Percentage volume changes, annual rates			
		Average 1968-1972	1973	1974	1975[3]
Private consumption	2 035	4.7	7.7	–2.3	–3½
Public consumption	506	7.3	4.4	6.4	2¼
Gross fixed capital formation	717	6.4	15.1	–3.4	–7
Final domestic demand	3 258	5.3	8.8	–1.3	–3¼
Stockbuilding[1]	80	0.2	0.6	–0.3	–5½
Total domestic demand	3 338	5.4	9.2	–1.6	–8¼
Exports of goods and services	1 254	4.1	9.0	0.9	½
Imports of goods and services	1 714	6.5	17.6	–3.7	–11
Foreign balance[1]	–460	–1.3	–4.6	2.2	5½
GDP at market prices	2 878	4.5	5.4	0.4	–3¾
Net factor income from abroad[1]	37	–0.1	–0.1	–0.2	0
GNP at market prices	2 915	4.3	5.2	0.2	–3¾
Terms of trade adjustment[2 3]		1.4	3.3	–6.6	1

1 Changes expressed as a percentage of GNP in the previous period.
2 This gives the effect on real gross national disposable income (RGNDI) of changes in the terms of trade by expressing exports, net factor income from abroad and net current transfers from abroad in terms of import equivalents. Changes in RGNDI are obtained by adding these figures to the corresponding GNP figure.
3 Secretariat estimates.

Sources: National Income and Expenditure, 1973; Review of 1974 and Present Outlook - June 1975.

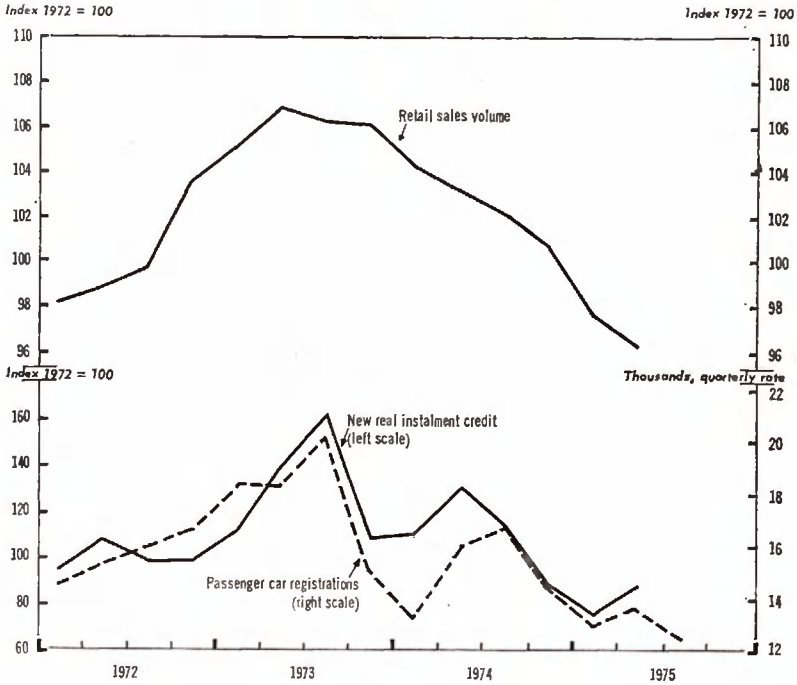
which dropped by 18 per cent in 1974. A considerable rundown in the savings of the agricultural sector helped to cushion the decline in consumer spending, which nevertheless fell by some 2¼ per cent.

A recovery in agricultural incomes in the first half of 1975 had little effect on consumer spending as savings were reconstituted. Moreover, other sectors seemed to have moved to increase savings thus further depressing demand. Sales of motor vehicles were particularly affected, being around 15 per cent lower than in the second half of last year. A continued decline in purchases of other consumer durables also may have occurred. The substantial cuts in selected VAT rates and certain new subsidies, together the equivalent of about 4 per cent of the consumer price index, which were announced in June are expected to provide a boost to consumer spending in the second half of this year and at least halt the decline. Nevertheless, private consumption in 1975 as a whole is expected by the Secretariat to fall by about 3½ per cent in volume.

Gross fixed capital formation also contributed to the weakness of demand in 1974, declining by about 3½ per cent. The fall seems to have been concentrated in private investment expenditure and was mainly in the second half of the year. Judging from data on capital goods imports, investment in machinery and other equipment (excluding ships and aircraft) seems to have remained relatively buoyant through most of last year[1] before turning down as the lags between changes in output and investment worked themselves out. New industries, consisting principally of foreign companies setting up plants in Ireland for the first time, were largely responsible for the growth of manufacturing investment. In the fourth quarter of 1974 there was an appreciable drop in the volume of imports of capital goods

1 In 1973 over 80 per cent of investment in machinery and equipment was accounted for by imports. Imports of capital goods rose by 17½ per cent in value in 1974, import prices probably rose by over 20 per cent (based on UK import/export unit values) implying an overall volume fall of over 2 per cent. However, excluding ships and aircraft, imports of capital goods rose by 27 per cent which, with a price rise of about 20 per cent, implies a volume increase of about 6 per cent.

Diagram 1 **Consumption Indicators**



NOTE Retail sales volume (i.e. value retail sales deflated by the consumer price index) and passenger car registrations are seasonally adjusted by the Secretariat.

New real instalment credit to new instalment credit extended by industrial banks and hire purchase finance companies for consumer goods and private motor cars deflated by the consumer price index.

Sources: Economic Series, Irish Statistical Bulletin; Quarterly Bulletin, Central Bank of Ireland.

Table 2 **Investment Indicators**

	1972	1973	1974	1974		1975		
				III	IV	I	II	III
Total new dwellings completed ('000)	20.83	23.87	25.41	6.41	7.18	8.05	5.09	
Local authority	5.90	6.07	6.75	1.08	2.62	2.68	1.29	
Other dwellings	14.93	17.80	18.66	5.33	4.56	5.37	3.80	
Domestic sales of cement *(million tonnes)*[1]	1.42	1.59	1.54	0.37	0.36	0.36	0.35	0.35

1 Seasonally-adjusted.

Sources: Central Bank of Ireland Annual Report; Economic Series; Quarterly Economic Commentary (ESRI).

(excluding ships and aircraft) which suggests that the upward trend in manufacturing investment was brought to an end towards the end of the year, and all indicators point to a reduction in 1975. In the first half of the year about two-thirds of industrial firms reported excess capacity and in the traditional industries—textiles, clothing and footwear, wood and furniture—many firms are in a difficult financial situation and, with depressed domestic prospects it appears that they have clamped down on

investment. Similarly firms, which are mainly export oriented, have been considerably influenced by the uncertain world trade prospects and by the inflationary situation, and it seems that they have reduced their overall investment plans and may have also postponed the implementation of some earlier investment commitments in Ireland.

With manufacturing investment rising, the decline in the volume of private fixed investment in 1974, estimated to be about 6 per cent, was probably concentrated in the construction industry. Rapidly accelerating building costs[2], the fall in real incomes and a tight liquidity position among building societies had a dampening effect on the demand for housing. Loans for new houses granted by building societies and assurance companies, in fact, fell by 18 per cent last year, a trend which continued into the first quarter of 1975. However, this was broadly offset by Government action taken in 1974 to raise spending by local authorities on the social housing programme and to increase loans for private housing. Further funds were made available in January, February and June this year. While it is difficult to evaluate the volume effects of the successive injections of funds, indicators such as employment in local authority housebuilding and new authorizations for social houses suggest that the upward trend which started in 1974, will probably continue through this year. Moreover, there was a marked improvement in the liquidity position of building societies which permitted a substantial increase in loan approvals in the second quarter of 1975. In addition, the two major associated banks are releasing £40 million for house purchases over the next two years. All factors suggest that a modest recovery in housebuilding in addition to that financed by local authorities may be under way. Despite a rise in the housing allocation of the public capital expenditure programme, total public investment expenditure probably rose only marginally between 1973 and 1974. The estimates in the revised 1975 budget point to some increase in the volume of the public capital programme this year, but a sharp decline in private investment expenditure is likely.

Despite the sharp turnaround in domestic demand in 1974, surveys indicate that non-agricultural stocks rose, more than offsetting a decline in agricultural stocks. It seems that after the rundown in non-agricultural stocks during the boom in 1973, there was substantial involuntary re-stocking in 1974 before the extent of the recession became apparent. As a result stocks reached very high levels, the financing of which increased the liquidity difficulties of the company sector. Import data suggest that substantial destocking outside agriculture occurred in the first half of this year. At the same time, agricultural stocks seem unlikely to be increasing, thus pointing to a strong contractionary effect on total output and imports this year from the total stock adjustment.

After increasing strongly in 1973, the volume of merchandise exports slowed down considerably through 1974. Industrial exports increased by about 8 per cent, most of which was concentrated in the first half of the year, partly reflecting increased demand by the United Kingdom during the period of the three-day working week and thereafter as stocks were rebuilt. With United Kingdom imports[3] falling sharply and other Irish markets weak, the volume of non-agricultural exports declined considerably in the last quarter of 1974 and in the first half of this year. While weak demand in market countries was an important cause of the decline in manufactured exports, the rapid rise over a number of years in unit wage costs causing loss of competitiveness in world markets has also contributed. Between 1971 and 1974 unit wage costs in Ireland rose substantially faster than in all the main market and competitor countries. In the United Kingdom, Ireland's main market,

2 Between the fourth quarters of 1973 and 1974, the price of materials for use in housebuilding rose by more than one-third and that of basic wage rates by about one-fifth.

3 The United Kingdom market accounts for over half of Irish exports.

unit wage costs in this period rose by about 36 per cent, compared with 42 per cent in Ireland. With the exception of Italy, the differential movements of wage costs between Ireland and other countries has been much larger. Allowing for exchange rate movements in this period, Irish unit wage costs increased by some 5 per cent more than the trade weighted average of competitors[4]. Recent wage trends indicate that this will widen further in 1975.

Exports of beef and cattle, including EEC intervention beef stored abroad, were exceptionally buoyant in 1974, rising by about 30 per cent in volume terms. But against this, shipments of other agricultural products fell by almost 20 per cent. There was a further sharp rise in the volume of total agricultural exports in the first half of 1975.

Supply

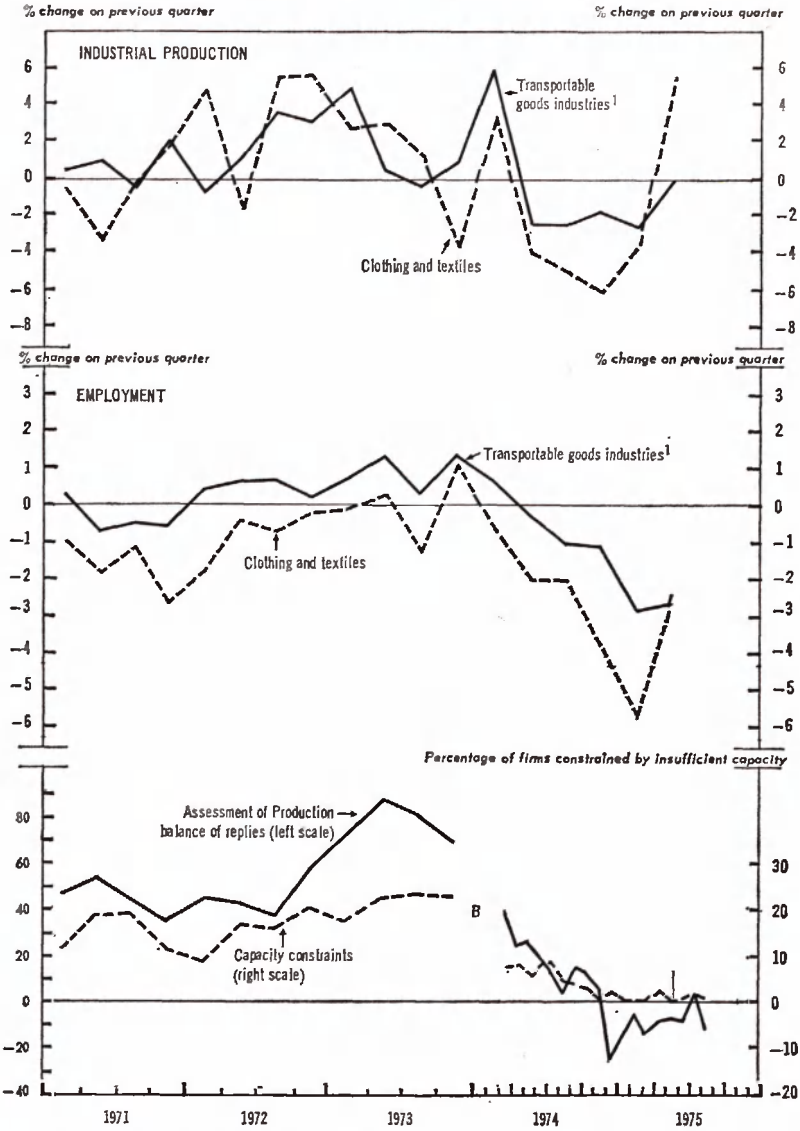
Although the output of manufacturing industry, which accounts for about 70 per cent of total industrial output, grew by about 2¾ per cent in 1974, the rise was concentrated in the first quarter after which output declined on a seasonally adjusted basis in the subsequent three quarters at an average annual rate of 9¾ per cent. The downward movement from the second quarter of 1974 was exhibited in all manufacturing industries apart from chemicals and was particularly severe in the textiles, clothing and footwear, and wood and furniture industries in which output fell over the last three-quarters at seasonally adjusted annual rates of 15 per cent, 22 per cent and 20 per cent respectively. The effects of weak domestic demand on output and employment in these industries in particular was reinforced by a slowdown in exports in the face of sluggish markets and a loss of external competitiveness. While the downward path of manufacturing output continued in the first half of this year, its composition was changing somewhat with an attenuation in the decline of those industries which were particularly weak in 1974 and strong declines in industries such as chemicals and paper which had held up in 1974. With stock levels still high in mid-1975, demand in the second half is likely to be met by running these down to more normal levels so as a result it seems likely that 1975 will see the first year on year decline in industrial production since 1957. The decline in retail sales and nearly stagnant tourism in 1974 suggest that activity in the service sector was also sluggish in both years.

There was a fall in the volume of gross agricultural output, including changes in livestock numbers, of 1 per cent in 1974, the first fall for eight years. However, because of a 10 per cent reduction of farm inputs in response to sharp increases in the prices of fertilisers and feeding stuffs, net output rose by 2.4 per cent. The fall in gross output was widespread, the increase being confined to cattle numbers and certain crops. The falls in the outputs of crops, milk and butter appear to have been partly due to unfavourable weather. Gross output is estimated to show little change in 1975, but due to high prices the usage of farm inputs is again expected to diminish leading to a rise of net agricultural output of roughly 4 per cent.

While demand pressures started to ease late in 1973, the volume of merchandise imports continued to rise into the first half of 1974, before falling substantially in the second. For the year as a whole, import volumes fell by about 2 per cent, all categories by final use showing similar movements. The decline continued, but at a slightly slower rate, in the first half of this year; imports of raw materials and partly processed goods were particularly affected, probably reflecting a sizeable stock adjustment from the high levels at the end of 1974.

4 The countries included in the estimates—United Kingdom, United States, Germany, Netherlands, France, Italy and Canada—account for 80 per cent of total Irish export markets and 85 per cent of markets for manufactured goods.

Diagram 2 **Output, Employment and Capacity**



1 Manufacturing and extractive industries.
B = Changeover from quarterly to monthly survey.
NOTE The output and employment series are seasonally adjusted by the Secretariat.
The assessment of production series gives the difference between the percentage of firms reporting increased production and the percentage reporting decreased production. The capacity constraints series gives the percentage of firms reporting insufficient capacity to be a constraint on production.

Sources: Quarterly Industrial Survey (CII/ESRI) and Monthly Industrial Survey (CII/ESRI); Quarterly Industrial Inquiry, Central Statistics Office, Dublin.

The labour market

Contrary to the experience in earlier downturns when the turning point in unemployment lagged behind that of production by more than six months, unemployment

Table 3 **Output by Origin**

	Percentage distribution in 1970	Percentage volume changes, annual rates			
		Ave. 1968-1972	1973	1974[1]	1975[1]
GDP by sector of origin:					
Agriculture, forestry and fishing	16.7	3.1	0.5	2½	4
Industry	35.4	4.9	11.6	2	–8
Distribution, transport and communication	17.8	4.3	8.9		
Public administration and defence	6.0	3.3	4.7	1¾	–2½
Other	24.1	4.6	3.9		
GDP at factor cost[2]	100.0	4.3	6.9	2	–3¾

1 Secretariat estimates.
2 The differences between these figures and those for GNP at market prices given in Table 1 reflect differences between expenditure and output based estimates as well as the factor cost adjustment.
Source: National Income and Expenditure, 1973.

started to rise in 1974 at about the same time as output began to decline. The main reasons for the different behaviour of unemployment in the present cycle seem to be the weak financial position of the company sector and great uncertainty by employers regarding the depth of the recession and the timing of the recovery. While the demand for labour weakened sharply, the growth rate of potential labour supply increased. First, it is estimated that since 1971 the rate of growth of working-age population (15 to 64 years) has more than doubled compared with the period 1966-71, and secondly, there was immigration of 3 000 persons in 1974, compared with average yearly emigration of 14 000 persons in the 1960s[5]. The reversal in migration flows in 1972 and 1973 mainly reflected improving employment prospects in Ireland, but more recently the recession in the United Kingdom and increased unemployment benefits in Ireland seem to have been the principal factors.

Responding sharply to the downturn in demand and activity, unemployment started to rise in the second quarter of last year, and accelerated through to mid-1975. Between the first quarter of 1974 and the second quarter of this year, the seasonally-adjusted rate of unemployment rose from 7 per cent of the insured labour force to 12 per cent, a total of 75 000[6], including persons on short-time work. However, as certain categories are excluded from the insured population, the rise in unemployment may be understated.

After rising by about ½ per cent in 1973, employment changed little last year on average, but fell in the second half of the year. Although average manufacturing employment rose by 2 000 between 1973 and 1974, there was a decline towards the end of last year; in the fourth quarter employment in this sector was about 4 000 (around 2 per cent) lower than a year earlier[7]. Sizeable job losses occurred in some industrial sectors, notably in textiles, clothing, footwear, wood and furniture

5 "Population and Employment Projections: 1971-86"; Publication No. 5, National Economic and Social Council, Dublin, 1975.

6 In mid-1975, the number of people on the insured register totalled 75 000, compared with 102 000 on the "Live Register". The latter, however, includes people on low incomes receiving an income supplement from the government. The insured labour force excludes those persons engaged in agriculture, fishing, domestic services, civil servants, other permanent employees and new entrants to the workforce.

7 This is a net figure, with redundancies totalling 20 000 and new job places 16 000.

Table 4 **Labour Market Indicators**

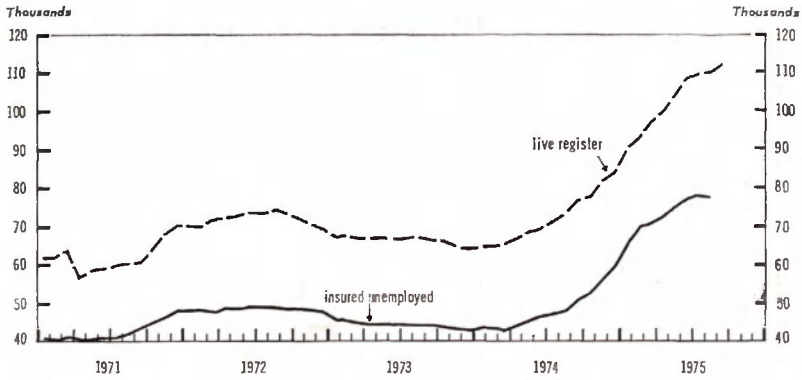
Thousands

	Average 1966-1971	1972	1973	1974	1974 IV	1975 I	1975 II	1975 III
Population	2 923	3 014	3 051	3 086				
Total employment[1]	1 061	1 046	1 052	1 058				
Agriculture[1]	303	267	261	254				
Other[1]	758	779	791	804				
Transportable goods industries[2 3]	198	208	214	216	213.2	207.2	201.9	
Manufacturing industries[2 3]	187	197	203	205	202.7	196.9	191.4	
Total registered unemployed[3]	57.6	72.0	66.6	72.0	81.4	93.7	104.6	110.9
Total insured unemployed[3 4]	37.6	48.0	44.0	48.1	55.9	68.8	75.1	
Total insured unemployed rate[5]	6.7	8.1	7.2	7.9	8.9	12.0	12.1	
Net emigration[6]	10.8	–6.7	–9.4	–9.2	–9.2	–14.8		
Weekly hours worked, manufacturing	43.3	42.4	42.4	41.5	41.0	40.3		

1 Data relate to mid-April of each year.
2 Average of quarterly data. Transportable goods industries are manufacturing and extractive industries.
3 Seasonally-adjusted
4 The insured unemployed exclude those engaged in agriculture, fishing and domestic service and permanent pensionable employees in the public sector.
5 Per cent of insured labour force.
6 Moving annual total of net passenger movement by sea and air. Minus denotes net immigration.

Sources: Central Bank of Ireland Annual Report 1974; Quartely Industrial Inquiry; Economic Series, Irish Statististical Bulletin.

Diagram 3 **Unemployment**



The series are seasonally adjusted by the Secretariat.
Sources: Irish Statistical Bulletin; Main Economic Indicators, OECD.

and metals and engineering. In the first half of this year, the sluggishness in domestic demand and export markets was reflected in an accelerated decline in manufacturing employment, while short-time work became more widespread and overtime fell. With stock/output ratios still relatively high, employment in manufacturing is expected to continue to fall throughout this year.

In line with the decline in activity in building and construction, employment in this sector started to fall in the third quarter of last year and has since accelerated to be about 7 per cent lower in the first half of 1975 than a year earlier. As the measures announced in June to boost housebuilding activity take effect in the second half, and reflecting the easier availability of credit, construction employment may stabilise, but at a relatively low level. Although tourism improved somewhat in 1975, employment in the services industries has probably continued to fall slightly in response to weak consumer demand. The movement out of agricultural employment in 1974 was on much the same scale as in the two preceding years, when there was a tendency to hold labour as farming profits increased. In an attempt to try and arrest the downward trend in employment, the authorities in June introduced an employment premium scheme[8], but this is not expected to have any sizeable impact until early 1976, which would mean that on current indicators total employment this year may fall by as much as 3½ per cent below last year's level.

Inflation gathers pace

The rate of price increase accelerated in 1974 and in the early part of this year. The initial cause of the upsurge in inflationary trends early in 1974 was the considerable rise in import prices, partly reflecting the quadrupling of oil prices. In the first half of 1974 the price of imports grew at an annual rate of nearly 60 per cent compared with 20 per cent for the price of home produced goods. Towards the end of the year, however, the rate of growth of import prices subsided markedly and domestic cost pressures accelerated, to become the dominant factor behind the aggravation of inflationary trends in 1975. Import and food prices accounted for nearly three-quarters of the growth of consumer prices in 1974 as a whole, and wage costs (after allowing for productivity effects) the rest. The predominance of

8 See Annex for details.

Table 5 Price Movements

Percentage change, annual rate

	1972	1973	1974	1974			1975		
				II	III	IV	I	II	III
Wholesale general index[1]	10.4	17.6	13.5	19.7	4.5	16.5	66.1		
Material for industry	5.4	23.1	36.6	34.7	28.8	27.0	4.0		
Output of industry	7.1	13.9	20.1	21.1	20.3	27.0	52.0		
Personal consumption	8.0	15.6	15.5	19.9	11.4	30.7	59.8		
Feeding stuffs	3.5	36.7	31.1	–5.6	–8.4	29.2	–1.9		
Agriculture	21.5	30.7	5.1	12.9	–18.9	36.4	85.3	16.3	
Home production	10.7	18.0	11.6	18.7	4.1	23.1	63.5		
Total import	5.3	21.4	38.6	14.6	28.1	18.7	6.5		
Consumer prices, total	8.7	11.4	17.0	24.1	16.1	19.8	36.2	26.7	–3.2
of which: Food[2]	11.9	16.5	14.7	21.8	15.6	28.0	25.9	44.3	–11.7
GDP deflator	13.1	13.9	8.0						

1 The products included in the index and their weights have not changed since 1955, and it is to be noted that the general index is not exhaustively decomposed by the subheading. The series have not been seasonally-adjusted.

2 Although there are seasonal movements in this series the movements given have not been adjusted.

Sources: Central Bank, Annual Report 1974; Economic Series; Review of 1974 and Present Outlook-June, 1975; Irish Statistical Bulletin.

external cost pressures in 1974 is reflected in the much lower growth of the GDP deflator than consumer prices of 8 per cent and 17 per cent respectively.

Agricultural prices, which had a dampening effect on the overall price rise through 1974, increased markedly in the first half of 1975. It is expected that the rise will continue to be strong during the rest of 1975. Reflecting greater buoyancy in overseas cattle markets, the increase in EEC intervention prices and the devaluations of the Green Pound[9], the rise of agricultural prices on an annual basis will consequently be considerable, the food component of the consumer price index, accounting for about 30 per cent of the total, possibly rising by over 20 per cent. But wage costs are the main factor in the strengthening of inflationary pressures this year. The total wage bill may rise by about 23½ per cent which, combined with a fall of some 5 per cent in non-agricultural output, implies an increase in unit wage costs of nearly 30 per cent, or double that of last year.

Increases in indirect taxes in the 1975 Budget added almost 3 percentage points of the 8 per cent rise in the consumer price index in the first quarter of this year[10], but the budget measures in June are officially estimated to have had an offsetting effect on the consumer price index in the third quarter. While the substantial wage increases in the first half of 1975 have yet to work fully through to prices, the June measures have resulted in a small fall in prices in the third quarter. For 1975 as a whole, however, the increase in consumer prices may be of the order of 22 per cent.

Price controls continued to be applied in the period under review although there were changes in the regulations applying to distributors' margins[11]. However, with applications for price increases considered on a firm-by-firm basis, the National Prices Commission has taken into account the employment consequences of price controls for firms in difficult circumstances. The Commission proposed in March 1975 that price controls in manufacturing be concentrated on firms in a dominant market position or insulated from external competition. In 1974 about 81 per cent of the value of claimed price increases were allowed to be passed on and in the first half of 1975 about 79 per cent. The share of increased materials costs in the value of allowed price increases fell from 76 per cent in the first half of 1974 to 60 per cent in the second half and again to 48 per cent in the first half of 1975, reflecting the increasing labour cost component of Irish price inflation over the period.

The National Pay Agreements of 1974 and 1975 combined with the increase in the rate of growth of consumer prices since early 1974 are largely responsible for the continuing strong upward trend in wage rates in 1974 and the acceleration in 1975. The 1974 Agreement[12] provided for basic pay increases of roughly 8 per cent on average in phase one plus 60 pence[13] a week, which covered the first six months, and 4 per cent increase plus 60 pence a week in phase two covering the following six months. The Agreement also included a cost of living threshold provision giving one per cent increase in basic pay for each one per cent rise in the Consumer Price Index if the latter rose by more than 10 per cent in the twelve months to November 1974. Moreover, it contained special provisions for equal pay and anomaly clauses permitting further pay increases for certain categories of employees. Including the special increases due to the anomaly clause and towards

9 The Green Pound is the conversion rate between the EEC's unit of account and the Irish pound.

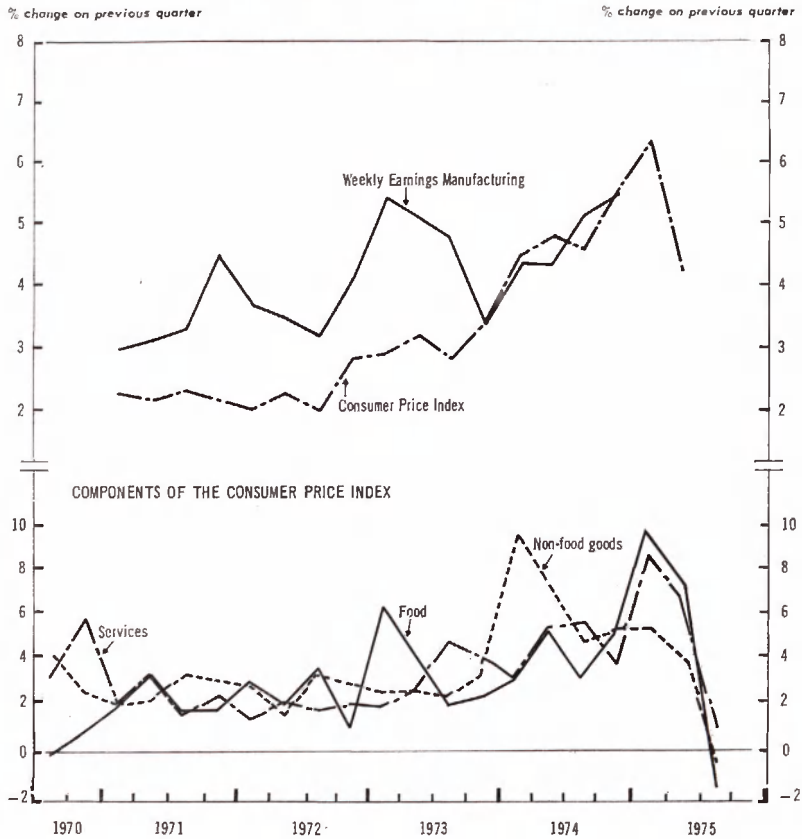
10 See Annex for details.

11 From 1st January 1975 control over the cash margins of importers and wholesalers is limited to those whose annual turnover exceeds £¼ million, and these may apply, with two months' notice, for increases.

12 Details of the Agreement are given in the Annex.

13 60 pence per week represents about 1¾ per cent of average earnings of industrial labour.

Diagram 4 **Prices and Earnings**



NOTE The upper series, for the consumer price index and weekly earnings in manufacturing are on a three-quarter moving average base and weekly earnings is seasonally adjusted by the Secretariat.

Sources: Irish Statistical Bulletin; Quarterly Industrial Inquiry, Central Statistics Office, Dublin.

equal pay, the increase of average basic pay was roughly 19 per cent in 1974. However, due to the increase in unemployment, more short time and less overtime work, especially in the latter half of the year, the total wage and salary bill rose by just over 17 per cent on a yearly basis.

The 1975 Agreement[14] provided for increases in basic pay in four phases, each of three months' duration. The increase in the first phase was fixed at 8 per cent (being the increase of the Consumer Price Index between November 1974 and February 1975) or £2 a week whichever was greater. For the following three phases a floor of 4 per cent and a ceiling of 5 per cent increase was fixed. The 1975 Agreement did not provide for any further movement towards equal pay over and above that allowed for in the 1974 Agreement. Moreover, the scope for anomaly payments and other improvements was restricted.

As agreed, the 1975 Agreement on the basis of an underlying trend in consumer prices of nearly 20 per cent annual rate in the second half of 1975, and allowing

14 See Annex for details of the Agreement.

Table 6 **Income Changes**

	£ million 1973	Percentage changes			
		1972	1973	1974	1975[1]
Agriculture, forestry and fishing:					
Wages and salaries	34	8.4	9.7	17.6	18
Self employment and profits	371	37.8	31.5	11.1	37
Non-agricultural domestic income:					
Wages and salaries	1 298	15.4	20.5	17.1	23½
Other income	447	22.6	26.4	14.5	9½

1 Secretariat estimates.
Sources: Review of 1974 and Present Outlook - June 1975: Quarterly Industrial Inquiry; Economic Series.

for the carryover effect of the 1974 one,[15] implies an increase of basic wages and salaries of around 27 per cent on average in 1975. On top of this, the implementation of the equal pay clause and the anomaly clauses would add some 3 percentage points more. In the first half of the year, however, the weakness in the labour market, the extension of short-time work and less overtime have moderated the growth of average earnings. In addition, a number of firms, because of financial difficulties, have invoked the "inability to pay" clause of the National Pay Agreement, and it appears that with the consent of the local unions they have given smaller increases in basic pay than terms of the Agreement allow and have also made little progress towards equal pay since the autumn of 1974.

At the time of the June measures the Government in an attempt to reduce the inflationary effects of the National Pay Agreements, proposed the suspension of all pay increases for special anomaly cases and the replacement of the 4 per cent floor by simple indexation of wages and prices for the remainder of the 1975 Agreement. Agreement between employers and trade unions on the Government's indexation proposal was reached in September while discussions on anomaly clauses continued. As a consequence, the growth of wages and salaries for 1975 as a whole may be reduced by about 1 percentage point. A major difficulty in achieving lasting wage restraint, however, is the considerable differentials which have developed between pay within and between the different sectors.

After sharp increases in 1972 and 1973, income in agriculture declined sharply last year, mainly as a result of sluggish cattle and meat prices in world markets. This year, the increases in agricultural prices are substantial, particularly those for cattle, milk and pigs, mainly as a result of improved market demand for beef, higher EEC intervention prices and the devaluation of the Green pound. After allowing for higher input prices, agricultural incomes in 1975 may rise by more than 35 per cent.

External trade and the balance of payments

A major influence on developments in the external account in 1974 was the quadrupling of oil prices at the end of 1973. The current external deficit widened

15 The 1974 National Pay Agreement accorded pay rises of the order of 30 per cent while the cost of living increased by roughly 24 per cent during the period of the Agreement, which is 12 months. However, starting and finishing dates for each employee group differs, with the result that for some groups the 1974 Agreement finishes as late as May 1975. As the threshold increase was payable to employees from the beginning of the 13th pay week before the end of the individual industry or company agreements a lot of the threshold payments were made early in 1975. As a result the growth of average earnings appears to have been very large in the first quarter of 1975, thus raising the 1975 average considerably.

from the equivalent of 3 per cent of GNP (£78 million) in 1973 to 10¼ per cent of GNP (£300 million) last year despite an improvement of £55 million[16] in the invisibles account. About three-fifths of the deterioration was due to higher oil prices. Imports in 1974 as a whole increased in value substantially more than exports despite a sizeable improvement in the real foreign balance. But there was a marked divergence in developments between the two halves of the year. Most of the 43 per cent rise in import values occured in the first half with both volumes and prices rising strongly. As stock levels started to increase and it became apparent that demand and activity were rapidly weakening, importers reacted sharply, reducing volumes by about 10 per cent in the second half. Export volumes on the other hand, although slowing down through the year, held up partly because of beef stored abroad by the EEC. The different movements in import and export volumes in the second half of 1974 more than compensated for a continued worsening in the terms of trade, resulting in a considerable reduction in the deficit on trade from the high level in the first half.

Table 7 **External Trade**
£ million

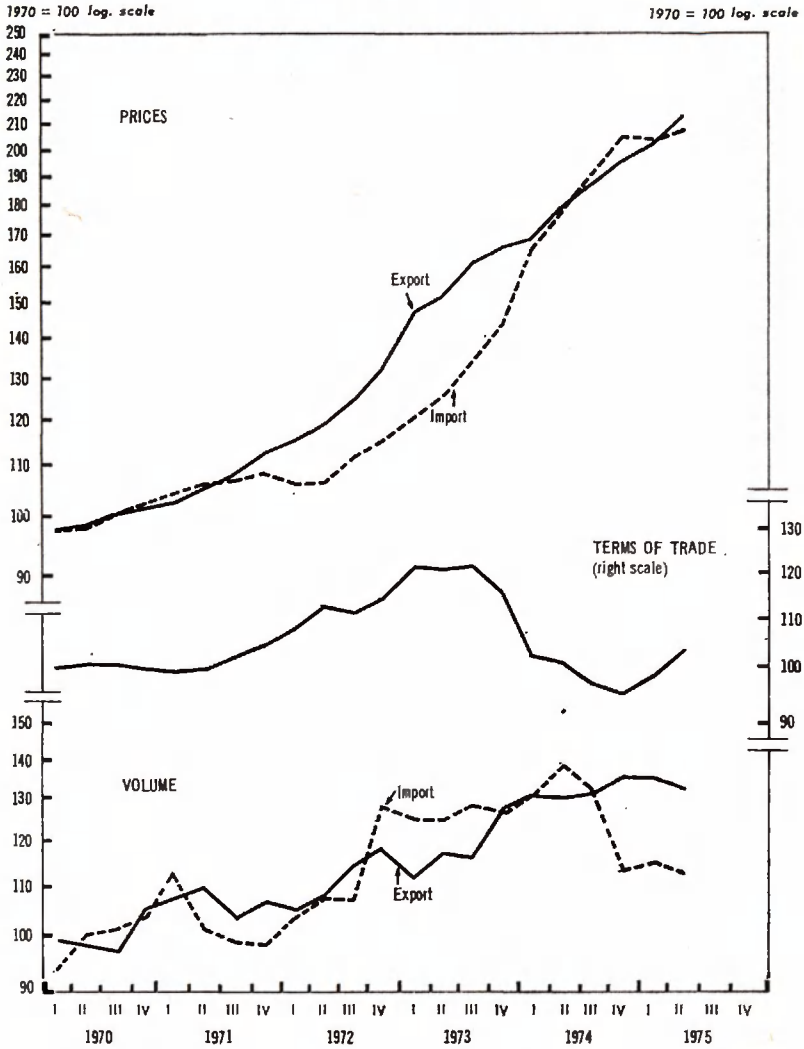
	1972	1973	1974	1974		1975
				H1	H2	H1
Exports value	648	869	1 124	520	605	633
of which:						
Food, drink, tobacco	292	376	448	192	256	273
Basic materials (incl. mineral fuel and lubricants)	45	60	88	42	45	46
Other manufactures	252	380	538	257	281	297
Imports value	838	1 137	1 627	820	806	834
of which:						
Food, drink, tobacco	112	144	197	98	99	119
Basic materials	49	83	120	65	55	41
Mineral fuel and lubricants	64	78	226	108	119	113
Other manufactures	563	790	1 035	527	508	537
Imports by use:						
Consumption goods	218	275	384	186	198	
Capital goods ready for use	139	192	226	115	111	
Material for agriculture	32	48	61	33	29	
Material for industry	447	619	954	486	468	

Sources: Central Bank of Ireland Quarterly Bulletin; Trade Statistics of Ireland.

In the first half of 1975 import volumes, as noted earlier, continued to fall considerably, while export volumes increased marginally, and since there was an improvement in the terms of trade the trade deficit was appreciably reduced. The weak trend in the value of imports continued into the second half of 1975 and is likely to result in little change in import values in the year as a whole. The value of exports on the other hand has continued to increase mainly as a result of higher volumes and prices of agricultural exports. Thus, it is likely that the trade deficit this year will be considerably reduced from about £550 million in 1974 to possibly around £380 million.

16 Of which some £35 million was due to increased net current transfers from the EEC.

Diagram 5 **External Trade**



NOTE The series are seasonally adjusted.
Source: Economic Series, Irish Statistical Bulletin.

Net invisible receipts, which were approximately flat between 1968 and 1972, rose markedly in 1974 for the second year in succession. As in 1973, net current transfers from the EEC were the principal factor, contributing over 60 per cent of the increase. Earnings from tourism seem to have been particularly buoyant, although numbers were unchanged[17]. An improvement of some 4 per cent in tourist numbers this year will boost invisible receipts as will the rise of £18 million to £85 million in EEC current transfers. In total, net invisible receipts could reach about £300 million, leaving a current account deficit of about £80 million,

17 Gross earnings from tourism are officially estimated to have increased by £20 million in 1974.

Table 8 **Balance of Payments**

£ million, seasonally adjusted

	1972	1973	1974	1975[1]	1974		1975	
					H1	H2	H1	H2[1]
Exports fob	648	869	1 124	1 350	530	594	650	700
Imports cif	838	1 137	1 627	1 685	796	831	810	870
Trade balance	–191	–268	–503	–330	–266	–237	–160	–170
Adjustment to balance of payments basis	–1	–3	–45	–50				
Net invisible receipts[2]	143	193	248	300				
Transportation	36	40	n.a.					
Tourism and travel	24	24	n.a.					
Income from capital	16	13	n.a.					
Current transfers	50	90	n.a.					
Deficit on current account	–48	–78	–300[3]	–80				
Official external reserves at end of period	432	435	495		396	495	525	

1 Secretariat estimates.
2 Including " Other Service " and " balance unaccounted for ".
3 The 1974 current account deficit includes an allowance for intervention beef placed in cold storage and not sold before the end for the year. This also mainly accounts for the sizeable adjustment item in the table.

Sources: Central Bank of Ireland Annual Report; Irish Statistical Bulletin; Review of 1974 and Present Outlook-June 1975; Trade Statistics or Ireland.

a marked reduction from the £300 million recorded in 1974. The financing of the current external deficit has not posed difficulties for the authorities, about two-thirds being covered by public sector borrowing and the remainder by long-term private capital inflows for industrial development projects. As can be seen from Table 8, official external reserves have been rising steadily since end-1973. While the official external debt has increased about threefold since 1973, the cost of servicing has so far remained relatively small, being equal to about 2 per cent of the value of exports in 1974; it will, of course, increase in the coming year.

II ECONOMIC POLICY

Demand management in Ireland, as in most OECD countries, has faced a difficult combination of problems in the last two years—inflation, declining activity and a sizeable balance of payments deficit. While recognizing the risks associated with inflation, the authorities gave priority to supporting the level of activity, and opted for an expansionary budgetary policy in 1974 in order to try and offset the deflationary impact of the rise in oil prices, and in 1975 in order to stem the rise in unemployment largely resulting from the fall in private sector demand. However, there was some shift in policy in June 1975, when greater emphasis was placed on containing inflation while at the same time stimulating further demand. The Government presented a number of measures aimed at reducing the rate of price increase and proposed a downward revision in the provisions of the 1975 National Pay Agreement for pay rises. With regard to the balance of payments, the strategy has been to achieve external balance by a process of gradual adjustment.

Budgetary policy

When the 1974 Budget[18] was presented, the authorities expected that there would be an appreciable deceleration in the growth rate, but that output would still rise by between 2 to 3 per cent in 1974. In these circumstances the Government aimed at raising the growth rate of GNP by about 1½ per cent, the main stimulus to demand coming through current expenditure which was planned to rise by 22 per cent. Sizeable increases in social insurance and assistance benefits, health allowances and educational expenditure were made. A major reform of the fiscal system to be implemented over the next few years was announced[19]. In the capital programme priority was given to local authority housing and assistance to encourage industrial investment[20].

By late 1974, it was evident that the deflationary forces were much stronger than had been expected at the time of preparing the budget. In an attempt to try and slow down the rise in unemployment, a budget containing a substantial increase in spending over revenue was presented at the beginning of 1975. As in 1974, the budget provided for substantial increases in social security payments, as well as for improved personal income taxation allowances and special tax relief for farmers and companies. To help offset some of the planned rise in expenditure, a number of indirect taxes were increased. Although expenditure in the early part of the year rose substantially faster than planned, the strong acceleration in inflation and the

18 The 1974 Budget covered a nine month transitional period, 1st April to 31st December 1974. Before this budget the financial year commenced on 1st April and finished on March 31st of the following year. As from 1975, the budget financial years will coincide with calendar years.

19 For details, see Annex.

20 Capital expenditure was budgeted to rise by 20 per cent.

Table 9 **Public Sector Expenditure**
£ million

	Out-turn			Budget estimate 1975[3]		(% change) January estimate for 1975 over 1973/74 out-turn
	1972/73[3]	1973/74[3]	April-December 1974[3]	January[1]	June[2]	
Current government[4]						
Service of public debt	127.3	147.8	141.0	224.1	234.1	51.6
of which: interest	87.2	108.9	107.0	175.7	185.2	61.3
Social services[5]	247.2	336.3	319.5	542.6	574.3	61.3
Economic services[6]	142.1	129.8	110.6	168.2	198.6	29.6
General services[7]	108.8	129.7	119.6	190.1	198.2	46.6
Other current[8]	38.1	56.0	53.0	126.7[9]	151.8[10]	126.3
TOTAL CURRENT	663.5	799.7	743.7	1 251.7	1 357.0	56.5
of which: public service remuneration	200.1	253.1	237.5	421.2[9]	447.1	66.4
Public sector capital programme						
Central government	84.8	97.4	79.3	133.5	138.7	37.1
Local authorities	54.0	80.3	81.3	119.8	131.8	49.2
Public bodies	109.7	143.0	128.9	205.6	219.3	43.8
TOTAL CAPITAL	248.5	320.7	289.5	458.9	489.8	43.1
TOTAL PUBLIC SECTOR	912.0	1 120.4	1 033.2	1 710.6	1 846.8	52.7

1 Budget presented on January 15th. 1975.
2 Budget presented on June 26th, 1975.
3 1972/73 and 1973/74: financial year starting on April 1st and finishing March 31st the following year; April-December 1974: transitional financial year; from 1975 onwards financial years coincide with calendar years.
4 Excluding current expenditure from the Social Insurance Fund.
5 Social welfare, education and health.
6 Agriculture, industry, transport, and forestry and fisheries.
7 Post office, defence and internal security, justice and public service pensions.
8 Including payments under arrangements relating to own resources of EEC.
9 Includes £40 million global provision for pay.
10 Includes £58.5 million global provision for pay.

Sources: Budget, 1973, 1974, 1975 and Financial Statement of the Minister of Finance, 26th June, 1975: Stationary Office, Dublin.

continued deterioration in demand and activity prompted the Government to introduce measures in June. This latest package which introduced subsidies on certain foods, transport and town gas and selective VAT reductions, was officially estimated to reduce the rise in the Consumer Price Index by 4 percentage points. The Government announced, however, that the measures were contingent upon a modification of the 1975 National Pay Agreement by replacing the 4 per cent basis for quarterly wage increases with simple indexation of wages with consumer prices, which has now been done.

The 1974 budget as originally presented provided for a current account deficit of £76.2 million for the nine months April to December, and for a deficit of £214 million on the capital budget (Table 10). The actual deficits in fiscal 1973/74 were £10.4 million and £210.1 million respectively. In the event, expenditure on both accounts—mainly because of accelerating inflation and falling activity—rose considerably faster than was planned, whereas the slowdown in demand and activity led to a small over-estimation of revenue. The net result was an actual public sector deficit in 1974[21] of £357.7 million (16.4 per cent of GNP) as against the budget estimate of £290 million and an outturn in fiscal 1973/74 of £220.5 million (8.2 per cent of GNP).

The marked increase in the public sector deficit planned for at the beginning of 1975 was intended to provide a moderate stimulus to demand. However, partly reflecting the rapid acceleration of inflation, the reflationary impact of the budget may have been less than was intended. The June measures encompassed a large jump in the public sector deficit, and implied a considerable boost to demand. Indeed, the public sector deficit was estimated to rise from 16.4 per cent of GNP in 1974 to more than 19 per cent in 1975.

A major issue facing the authorities at present is the massive public sector deficit coupled with a continuing fall in demand and activity. Compared with most Member countries, the deficit in Ireland has been high for a number of years. Until 1974 the deficit was heavily concentrated on the capital budget, representing expenditure necessary to provide new employment opportunities for the rapidly growing non-agricultural work force. Heavy emphasis has typically been given to fostering the development of export-oriented manufacturing industry. In the last two years, however, the current account has also moved into sharp deficit adding to what was already a relatively large financing commitment, amounting to over 28 per cent of revenue in fiscal 1973/74.

The particularly rapid expansion of public expenditure in 1974 and 1975 has increased the dilemma facing the authorities in earlier years of how to increase the savings of the public sector without adversely affecting productive investment by the private sector. In this context, the structure of the tax system is of special relevance. As taxation is heavily biased against direct taxation and because of the preponderance of specific taxes, the elasticity of tax revenue with respect to GNP is relatively small. As a consequence, the recent combination of rapid and accelerating inflation and falling activity has resulted in a slowdown in revenue and a serious under-estimation of expenditure. An important contributory factor to the size of the current account budget has been the increase in public sector pay in line with the National Pay Agreements.

Although inflation has reduced the size of the public sector debt as a proportion of GNP in recent years, the cost of servicing has risen to around 6½ per cent this year, which represents a substantial financing burden and makes more difficult to avoid relatively large current deficits in future years. The size of the financing burden and the public sector deficit, which now seem to be a major problem, raise questions about the structure of budgetary policy. Reflecting weak demand and

21 April-December 1974.

Table 10 **Public Sector Deficits and Financing**

£ million

	Out-turn			Estimate	Out-turn	Budget estimate	
						1975	
	1971/2	1972/3	1973/4	1974 April-Dec.	1974 April-Dec.	January	June
Current budget deficit	2.2	5.5	10.4	76.2	92.3	125.4	241.6
Capital programme deficit[1]	161.1	186.6	210.1	214.0	265.4	405.9	464.8
Public sector borrowing requirement	163.3	192.1	220.5	290.0	357.7	531.3	706.4
of which: Exchequer total borrowing[2]	127.8	144.5	170.2	n.a.	304.0	450.0	623.7
Exchequer foreign borrowing	29.2	21.5	44.2	n.a.	146.7	225.0	200.0
Public bodies foreign borrowing	n.a.	n.a.	n.a.	n.a.	35.0	50.0	n.a.
Memorandum items:							
Public sector borrowing requirement as percentage of GNP[3]	8.6	8.6	8.2	13.3	16.4	14.8	19.7
Exchequer foreign borrowing as percentage of GNP[3]	1.5	1.0	1.6	n.a.	6.7	6.3	5.6

NOTE 1971/72, 1972/73 and 1973/74 are financial years April to March. April-December 1974 is a transitional financial period. From 1975 the financial year coincides with the calendar year.

Capital programme deficit is made up of Public Capital Programme *plus* non-programme outlays (except the current budget deficit) *less* internal resources of local authorities and State bodies *less* Exchequer loan repayments and sinking funds *less* reduction in liquidity of Departmental funds.

2 *Exchequer total borrowing* is made up of Exchequer normal resources *less* sinking funds and loan repayments *plus* residual borrowing *less* reduction in liquidity of Departmental funds.

3 The GNP at current market prices figures refer to calendar year. For April-December 1974, the 1974 GNP market prices figure has been reduced by roughly ¼ to account for the 9-month period. The 1975 GNP at current market prices figure used is a Secretariat estimate.

Sources: Budgets various dates.

activity, part of the increase in public expenditure is of a temporary nature, and may be reversed when recovery gets under way. However, the preponderance of specific taxes in the revenue system noted above has meant that revenues have not increased at the same pace as inflation. In addition, the Government's policy of improving current transfers has also led to a sharp increase in expenditure unmatched by revenue. These factors indicate that the composition of the budget may have changed, insofar as there are certain permanent elements being built into current expenditure which may pose financing difficulties in the medium-term.

Monetary policy

The principal aim of monetary policy during 1974 was to provide for growth in the money supply sufficient to support the expected level of activity, while at the same time avoiding the risks of monetary forces boosting inflationary pressures. The intention was that bank credit and money supply should rise at a slightly faster rate than total domestic demand in nominal terms. In the early months of 1974, however, there was an excessive increase in private sector lending leading to a rapid increase in money supply broadly defined (M3), which prompted the Central Bank to introduce measures to moderate the rate of increase. The liquidity ratio requirements of all non-associated banks[22] were increased and all licenced banks, including associated banks, were required to freeze their net lending for other than productive purposes[23]. While maintaining the rule that half of net capital inflow from abroad through licensed banks should be deposited with the Central Bank, it was announced that external credit for major industrial projects could be exempted. Following the rapid expansion in early 1974, these measures contributed to a significant slowing down in lending in the second half of the year, accompanied by a reduction in lending to the personal sector.

The main aim of policy for 1975 was to ensure that money supply and bank lending would grow more or less in line with the rate of increase of nominal domestic expenditure. In the event, while the money supply has grown appreciably, there has been a significant slowing down in lending reflecting the decline in activity. Foreign capital inflows and the financing of the public sector deficit have been the main factors behind the expansion of the monetary aggregates. In order to try and ensure that recovery would not be impeded by an over-restrictive monetary policy, credit restrictions on the personal sector, and hire purchase, property and financial institutions were relaxed somewhat in March this year and removed entirely in July.

Following the downward trend of short-term interest rates in the United Kingdom, Irish rates began to decline towards the end of 1974. This trend continued into the first half of this year and in line with the United Kingdom, associated banks' rates were reduced in February and April, and the Central Bank minimum discount

22 Primary ratio requirement of Merchant Banks and North American Banks was raised from 10 per cent to 13 per cent, while industrial and other non-associated banks were asked to increase their holding of Irish Government paper to the level of 5 per cent of their resources by mid-August and to 10 per cent by mid-November when all non-associated banks should be observing a liquidity ratio of 10 per cent. Associated banks' required liquidity ratios remained unchanged —13 per cent primary and 30 per cent secondary—at the levels fixed in February 1973. Associated banks consist of the big clearing banks with total liabilities of £2.7 billion at the end of 1974 compared with £1.3 billion for non-associated banks which consist mainly of merchant banks, industrial banks, North-American and other foreign banks, etc.

23 It was requested that there be no increase between May and November 1974 in advances to banks and hire purchase finance companies, property companies, other financial institutions and the personal sector, and no lending at all for speculative purposes.

Table 11 **Money Supply and Domestic Credit**

Percentage change, annual rate, not seasonally adjusted

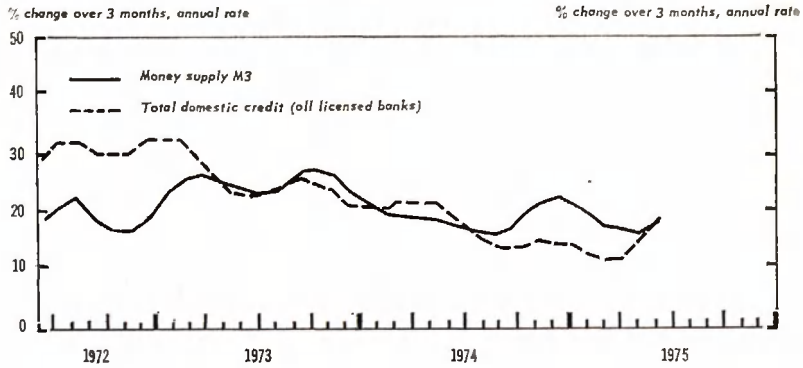
	Amount outstanding December 1974 £ *million*[1]	1972	1973	1974	1974 II	1974 III	1974 IV	1975 I	1975 II	1975 III
Money supply										
M1	563	12.7	12.0	3.0	–7.0	6.4	19.6	6.0	17.8	27.0
M3	2 029	10.2	22.6	21.1	14.3	15.8	28.5	17.2	12.7	19.9
Total bank credit to domestic sectors[2]										
Central bank, total[3]	52	3.8	8.5	94.1	167.4	–24.6	30.5	–6.8	83.3	759.5
Other bank total	1 852	28.2	23.8	17.6	25.6	5.6	16.1	16.5	13.7	18.4
government	462	12.9	27.0	24.4	14.2	19.8	37.5	38.4	23.5	19.6
non-government	1 389	33.6	22.9	15.5	29.3	1.6	10.1	9.9	10.5	18.0
Advances of all licensed banks to:										
Agriculture	160	n.a.	n.a.	19.6	52.7	6.5	–1.2	3.3	47.9	–8.1
Building and construction	85	n.a.	n.a.	22.2	46.1	–6.1	30.1	–5.8	–1.0	–23.9
Manufacturing	254	n.a.	n.a.	27.4	11.8	–2.9	63.1	22.7	–19.7	–4.8
Financial	106	n.a.	n.a.	6.6	34.9	–24.7	–21.3	16.9	–13.0	16.3
Services	241	n.a.	n.a.	17.4	40.0	–3.3	21.2	–5.4	15.6	2.6
Personal	207	n.a.	n.a.	4.6	44.0	–23.0	2.4	–	14.7	17.7
Total non-government	1 111	n.a.	n.a.	15.8	34.4	–5.8	12.4	7.1	6.6	
Net increase in instalment credit £m.		23.6	47.8	36.4	15.1	10.6	4.2	–2.0	6.1	
Net increase in mortgages, £m.		32.7	36.7	28.4	6.7	8.1	6.5	9.7	9.9	

1 November 1974 for advances of all licensed banks.
2 December/December for the annual changes; quarterly figures are for changes in the averages over the quarters.
3 Excluding Exchequer Bills and Exchequer Account overdraft facility.

Sources: Central Bank of Ireland, Annual Reports; Economic Series.

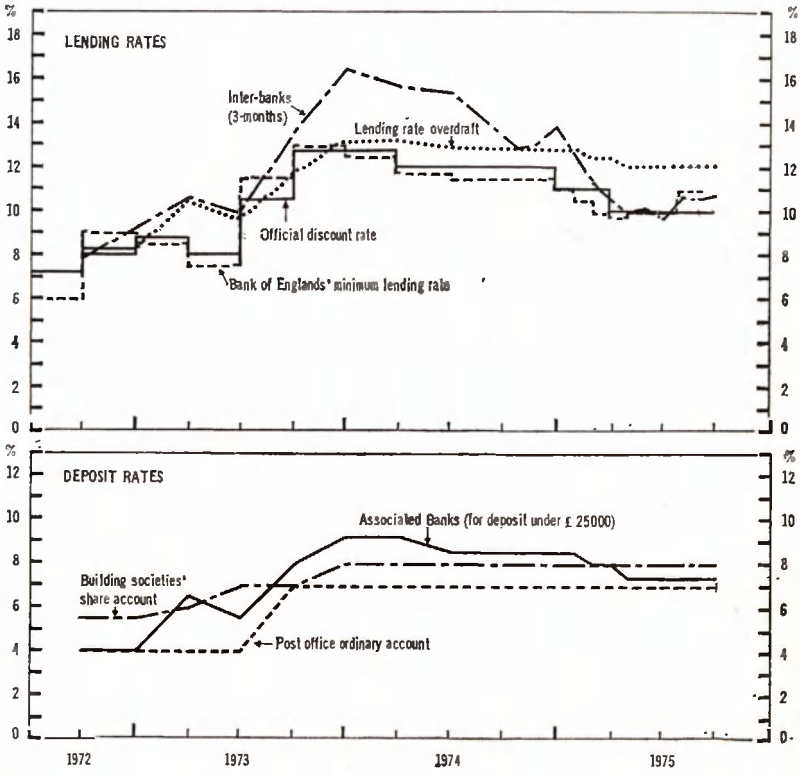
rate was reduced in two steps from 12 to 10 per cent between January and March. With the fall in interest rates, and the relaxation of credit limits, the stance of monetary policy seems to be about neutral.

Diagram 6 **Money Supply and Total Domestic Credit**



NOTE The original series were seasonally adjusted and smoothed by a 5-month moving average.
Source: Quarterly Bulletin, Central Bank of Ireland.

Diagram 7 **Interest Rates**



Sources: Quarterly Bulletin, Central Bank of Ireland; Bank of England Quarterly Bulletin.

III PROSPECTS AND CONCLUSIONS

The Outlook in 1976

Developments in the economy in 1976 seem likely to depend to a considerable extent on the strength of external demand. While some recovery is expected in Ireland's main markets, the important United Kingdom market will probably remain relatively sluggish. The outlook for manufactured exports is particularly weak. Apart from the small growth in markets, the continuing fast rise in unit wage costs may result in a loss of market shares. The 1974 Annual Report of the Irish Export Board noted that "in an increasing number of instances, business has been lost since the middle of 1974 because our prices have been too high". Despite the depreciation of the pound, the situation has deteriorated further since then and may adversely affect export performance in 1976. Exports of agricultural products are expected to rise slowly, but the slow growth is expected to be made up by increased prices, particularly for cattle and beef. On balance, it seems that total export volumes may rise a little, perhaps by around 2 per cent.

Despite the reflationary measures in the 1975 Budget and the additional measures of June, demand and activity are expected to remain weak in 1976 on the basis of present policies. The agreement to adopt revisions to the 1975 National Pay Agreement should help to slow down the rate of inflation. But even if simple indexation of wages continues through 1976 it seems likely that basic pay rates will still rise by about 16 per cent, faster than is expected in many other Member countries. A wage rise of this magnitude, and taking into account the probable rise in other

Table 12 **Demand and Output in 1976**
Volume percentage changes

	1975	1976
Consumers' expenditure	–3½	–2
Government expenditure	2¼	—
Fixed investment	–7	–5½
Final domestic demand	–3¼	–2¼
Stockbuilding[1]	–5½	2¾
Total domestic demand	–8¼	¼
Exports, goods and services	½	1¾
Imports, goods and services	–11	1¼
Foreign balance[1]	5½	—
GDP at market prices	–3¾	¼
GNP at market prices	–3¾	¼
GNP deflator	28	16
Consumer price deflator	22	15

1 Change as a percentage of GNP in the previous period.
Source : Secretariat estimates.

incomes, equal pay, anomaly awards, transfers, and the likely increase in import prices, would be compatible with a year-on-year increase of about 15 per cent in consumer prices. Should this occur, fiscal drag and rising unemployment would result in a small fall in real personal disposable income. While savings outside agriculture may be reduced a little, higher savings in the agricultural sector could be more than compensatory. On these assumptions, consumer spending should

decline in real terms for the third year in succession. In line with Government announcements that the growth of public expenditure is to be contained, public sector consumption is assumed to slow down.

Fixed investment will probably continue falling next year, though at a slower rate than in 1975. Manufacturing investment is likely to remain depressed. Substantial spare capacity, weak external demand and low profitability should inhibit recovery of investment in the traditional industries, while several planned industrial projects financed from abroad have been postponed. Housing may impart some stimulus. The Secretariat forecast incorporates the maintenance of public capital expenditure at much the same rate as in 1975. Investment in stocks is likely to be stimulatory; the rundown in non-agricultural stocks is assumed to level off before the end of 1976, as are agricultural stocks. Thus, on the assumptions adopted by the Secretariat, the volume of total domestic demand is expected to be about flat in 1976[24].

In view of the weakness of the domestic economy, the demand for imports is expected to be sluggish. The sharp fall in import volumes is forecast by the Secretariat to come to an end around the end of this year, after which imports may rise slowly in 1976 possibly by around 1 per cent on an annual average. On this basis, with no improvement in the real foreign balance, GNP would show a slight rise in 1976. With sluggish output this year affecting the labour market and no improvement foreseen, the unemployment rate may rise from the mid-1975 level. If such a forecast were to materialise, it seems unlikely that the public sector deficit could be appreciably reduced. At the same time, the current external deficit is forecast by the Secretariat to rise to about £100 million, from an estimated £80 million this year, incorporating a possible improvement in the terms of trade and higher EEC net current transfers. The financing of such a deficit is not expected to be a problem.

Policy considerations

A disturbing aspect of the economic situation is the present high level of unemployment. It is particularly worrying that the Government's reflationary policies over the last two years have not had the desired effect on unemployment and that inflation has accelerated in a period of falling output and real demand. It is clear that measures to expand domestic demand could not completely offset the powerful external recessionary influences. But, as was suggested earlier in this Survey, rapid inflation itself has contributed in worsening the employment situation, through its adverse effects on external competitiveness and productive investment.

A probable consequence of the loss of competitiveness in recent years, is that the medium-term growth strategy may be undermined. As discussed in the last OECD Survey of Ireland, a major effort has been directed towards encouraging export-led industrial development, a strategy which has been remarkably successful in creating a substantial number of new jobs. During the next few years, however, the rise in potential workforce is expected to be much faster. A study of population and employment trends by the National Economic and Social Council suggests that between 1976 and 1981 some 12 000 young persons may enter the job market annually. In addition, the Secretariat estimates that about 8 000 persons may move out of agriculture and 8 000 jobs may be lost in the traditional manufacturing industries. Thus, unless the pattern of migration is reversed, a total of around 28 000 new jobs may need to be created each year (over and above the recovery of employment from the present recession), a figure substantially higher than what was achieved in the past when real GNP was rising at an average rate of about

24 At the time of preparing the Survey, the Budget proposals for 1976 were not known.

4½ per cent. A similar rise in activity over the medium-term would apparently not be enough to provide sufficient employment opportunities. With the growth of employment heavily dependent on investment for export production, the task facing the authorities will be even more difficult if the competitive position is not considerably improved.

Control of inflation is, thus, essential for attaining the medium-term growth and employment objectives. But this problem has acquired particular urgency with the recent exceptionally high rates of price and wage increases of largely domestic origin and which may increase further the differential with rates in the United Kingdom. Moreover, the virulence of the wage-price spiral in the midst of a pronounced recession points clearly to the need for further policy initiatives concerning the determination of wages, other incomes and prices as an indispensable element of an overall anti-inflation strategy. The modification of the 1975 National Pay Agreement is a welcome step in this direction but it is doubtful whether the present system of wage indexation, if maintained in 1976, will slow down inflation sufficiently.

With pay and price increases of about 16 and 15 per cent (as forecast by the Secretariat on the basis of present policies) real disposable income is expected to fall further in 1976 while unemployment would continue to rise. But while the general economic situation provides little scope for higher private consumption in real terms, it is highly undesirable that this should be the outcome of a continued inflationary process. In present circumstances, resort to restrictive fiscal and monetary policies to fight inflation could only be a counsel of despair. It would thus be highly desirable to arrive at a reduction in both nominal wage and price increases through trilateral discussions between the Government, employers and trade unions. The substantial benefits which would derive from an early and marked slowdown in inflation may well warrant consideration of a standstill on pay increases for a limited period, while any new agreement would also need to consider the anomalies which may arise during the period of transition. However, if voluntary agreement cannot be quickly reached, resort to statutory controls may well need to be considered.

If efforts to reduce inflation to acceptable levels through wage moderation are successful, the scope for expansionary action to improve the employment situation would clearly be increased. But any such action would seem to be limited by the relatively weak outlook for external demand, as well as by the high " import leakage " of increases in certain domestic demand components, and would, therefore, need to be selective. Some further stimulus to house-building might be one method, as could temporary labour-intensive community improvement programmes. Manpower training has expanded rapidly in recent years and it is considered desirable that this momentum be sustained. The current external deficit would not seem to be a major constraint in providing a moderate boost to domestic demand.

Success in reducing inflation would also help in easing the difficult budgetary problems. The combined effects of recession and rapid inflation, the structure of taxation and the Government's commitment to improve the real value of current transfers, have been important factors in increasing the current budget deficit. The social and economic costs associated with the unemployment problem probably rule out any worthwhile reduction in the size of the current deficit in the near future. But a substantial reduction seems unlikely, even after levels of activity become more normal, unless inflation is reduced and action is taken to deal with the more permanent causes of the deficit on current Government transactions, which will also tend to be enlarged by the growing cost of servicing the public debt. Accordingly, an urgent review of budgetary policy for the period beyond 1976 is required if the essential public capital programme is not to be impaired.

As about one-quarter of productive investment is usually financed through the capital programme, in addition to the provision of essential infrastructure, any cut-back in this area would have adverse effects on future employment prospects,

and is clearly to be avoided. Indeed, the rapid growth of the potential workforce up to 1980, and the need to accelerate investment imply that the public sector's role in investment will probably have to increases pari passu with investment by the private sector. In this respect, the announcement in June that the Government is to consider methods of achieving more effective control over public expenditure was timely. It is also essential that the authorities continue to explore, as a matter of some urgency, the scope for improving the revenue system and public expenditure control over the medium term. This would seem indispensable for producing positive Government saving on current account of the size that will probably be required if the large investment needs are to be satisfied in the future.

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Annex

CALENDAR OF ECONOMIC EVENTS

1974

March 7

The 1974 National Pay Agreement is accepted by the Employer-Labour Conference and covers the 12 months following termination of the 1972 agreement or its substitution by the current agreement. In the first six-month phase the increase in pay rates would be either 9 per cent on the first £30 of basic weekly pay plus 7 per cent on the next £10 plus 6 per cent on the next £10 plus 5 per cent on the remaining part of basic weekly pay together with £0.60 per week or £2.40 per week, whichever is the greater. In the second six-month phase the increase would be 4 per cent on basic weekly pay plus £0.60 per week. There was also a threshold provision that basic pay would be adjusted one per cent upwards for each per cent rise in the consumer price index over 10 per cent in the year to mid-November 1974. The agreement also allowed additional increases for women as a movement towards pay equality and special payments in anomaly cases. Firms in difficulties were allowed in certain circumstances to pay less than the basic pay increases.

March 14

Second White Paper on Company Taxation, proposing a single corporation tax at a rate of 50 per cent but at a reduced rate of 40 per cent for small companies with effect from 1975.

April 1

Minister for Finance announces that the Public Capital Programme expenditure for the transitional financial year 1 April-31 December 1974 is is estimated at £295.4 million.

April 3

1974 Budget, covering a transitional nine-month period up to 31st December 1974. The estimates were prepared on a full year basis and then adjusted to the nine months. Current revenue for the full year to 31st March 1975 was estimated at £916 million compared with the previous year's outturn of £793 million while for current expenditure the figures were £983 million and £803 million respectively and the current deficit £67 million and £10 million respectively. The current budget measures were officially estimated to raise volume GNP by 1½ per cent by March 1975.

The principal discretionary measures were a reform of the income tax structure at an estimated revenue cost of £27 million in the year to March 1975 (£32 million in a full year) and increased social welfare provisions and earlier public service pension payments adding £25 million in the year to March 1975 (£50 million in a full year) on the expenditure side.

A new simplified personal income tax structure was introduced incorporating substantial increases in personal and other tax allowances, and abolishing surtax and earned income relief. All tax allowances were increased by at least one-

third but this was largely to offset the effects of removal of earned income relief. The overall impact was to reduce tax payments for all categories of income earners and to make the structure more progressive. In addition farmers, the rateable value of whose land is £100 or more, were made subject to income tax on their profits which for 1974/75 could be assessed nominally as 40 times rateable value.

All rates of social insurance and assistance benefits and health allowances were raised by just over 18 per cent compared to a rise of 16¼ per cent in the consumer price index since the previous budget increases. The qualifying age for pensions and other old age benefits was reduced by one year to 68 and the means test relaxed by £1 to £5 per week.

An annual rate 20 per cent increase in the public capital programme was announced, the main component increase being in building and construction, in particular local authority financed housing, with large increases also for electricity supply and telephone development.

May 15

Amendments to proposed Capital Gains and Wealth Taxes announced by Minister for Finance.

June 21

The Central Bank raises the primary liquidity ratios of North American, Continental and merchant banks operating in Ireland from 10 to 13 per cent.

June 24

Associated Banks' lending rates reduced by 0.75 of a percentage point except for A category borrowers (mainly in the personal sectors), and interest rates on deposits of over £5 000 reduced by 1.5 percentage points.

July 19

Additional £9 million to be given to local authorities for house loans.

July 26

The Minister for Finance announces that the banks are to provide a loan of £5 million to the building societies for the financing of house purchases.

November 4

A State Oil Company to be set up. State participation to be an essential feature of each licence issued for oil exploration.

November 23

The Government's White Paper on the economy calls for a National Partnership between the various groups in the economy to deal with the current economic difficulties.

December 10

European Summit Conference agrees on setting up of a regional fund with Ireland's share of receipts amounting to £35 million in total for the years 1975 to 1977.

1975

January 15

1975 Budget

Current revenue was forecast to increase by £210 million over the 1974/75 estimate to £1 126 million in 1975 and current expenditure by £270 million to £1 252 million.

The discretionary changes involved an increase in expenditure of £73 million, of which £35 million for social welfare payments, and a revenue increase of £12 million (£39 million increase principally in indirect taxes partly offset by an income tax reduction of £28 million, of which £16 million was personal income tax relief). In total discretionary changes added some £61 million or 4¾ per cent to total expenditure and the current budget deficit was estimated to reach £126 million, an increase of £59 million over the 1974/75 estimate. The estimated increase in public sector wage and salary bill resulting from the 1974 National Pay Agreement was about £90 million, on an annual basis, or about 30 per cent up on 1974/75.

Indirect taxes on beer, tobacco, spirits, wine, table water, betting, stamp duties and gaming were raised; except for taxes on the three first items which were raised in 1973, the latest increases on the other items were made before 1970.

The increases in personnal income tax allowances were roughly 15 per cent, about 1 percentage point more than the rise in consumer price index since the last change. Old age allowances were raised by 90 per cent for single and by 190 per cent for married people. Top income tax rate was reduced from 80 per cent to 70 per cent.

The increase in the rates of payment for all social insurance and assistance schemes as well as for related schemes were on average 22 per cent, compared with 17 per cent in consumer prices since the previous increase. Further increases will take place in October 1975 so as to keep the real value of the payments at the April levels. A further one year reduction in the qualifying age for old age pension to 67 years was announced and the means test was further relaxed by 20 per cent.

Other measures involved increased grant of £5 million to Manpower Training; anti-avoidance measures in relation to value added tax; the postponement of the introduction of income tax on farm income on an actual profits base; in calculating corporation tax companies were allowed to deduct from profits that part imputable to increase in the value of stocks and work in progress over a certain amount; the free depreciation allowance in respect of new plant and machinery was renewed for two more years.

Capital programme expenditure was forecast to increase by 19 per cent compared with the estimate for 1974/75. The biggest increase (some 40 per cent) was in direct investment and loans to industry, followed by allocations to house building (30 per cent rise).

February 3

Reduction in lending and deposit rates, effective as from February 6th.

February 18

Bank of Ireland announces that it will invest £180 million in agriculture over the next three years; of which £40 million will be long-term finance.

February 21

The Government announces that local authorities will be enabled to spend a further £7 million on the local authority housing programme in addition to the £51 million provided for in the Budget.

March 1

A 10 per cent cost of living supplementary pay increase under the 1974 National Wage Agreement takes effect.

March 1

Central Bank authorised the Associated Banks to relax limitations on lending to certain categories including the personal sector.

April 1

Reduction of deposit and lending rates, effective from 9 April, 1975.

April 22

The 1975 National Pay Agreement is accepted by the Employer-Labour Conference and covers the 12 months following the termination of the 1974 agreement for any particular group of employees. Changes in rates of pay were to take place within a four phase framework, each phase of 3 months. The first phase allowed for an 8 per cent increase in basic pay rates, equal to the increase in the consumer price index in the first quarter 1975, or £2 per week, whichever was greater. In the subsequent three phases a floor of 4 per cent and a ceiling of 5 per cent was fixed with indexation to consumer price increases within that range, and for the lower-paid the second phase increase was guaranteed at least £1 per week. A final upward adjustment was allowed for should the consumer price index increase by more than 23 per cent in the year to November 1975. The Agreement also allowed additional special pay increases to remove serious inequities and to move towards equal pay. Moreover, firms experiencing difficulties were allowed not to pay the full amounts of the basic pay increases.

April 29

The Minister for Industry and Commerce announced the Government's licensing terms for the offshore oil exploration including a State right for 50 per cent participation, and a sliding scale of royalities from eventual production. The Minister for Finance announced details of the taxation terms that will apply to offshore oil exploration.

May 1

Government announces revised credit arrangements with the banks to finance exports of capital goods.

May 4

Period of entitlement to pay-related unemployment and sickness benefit extended by 78 days to 225.

June 26

A supplementary budget was introduced. Value added tax on clothing, footwear, electricity and fuels other than road fuel was removed (estimated revenue cost of £8.2 million in 1975). The prices of bread, butter, milk, town gas and public transport were subsidised (estimated cost £18.5 million in 1975). These measures were officially estimated to lower the consumer price index by 4 percentage points and the Government requested a revision of the National Pay Agreement, suggesting that the measures might be revoked if no adequate revision were forthcoming. An Income Tax surcharge increasing rates of income tax by 10 per cent for all rates other than the lowest was introduced (estimated to yield £8 million in 1975) and it was announced that the PAYE scheme would be extended to public sector, church and all bank employees. In addition, a temporary employment premium of £6 per week per employee for employers recruiting from the unemployed was introduced, to run for a year to June 1976. The net estimable cost of the discretionary measures was £20 million and the estimated current account deficit for the year 1975 was increased by £116 million to £242 million taking into account additional estimated departmental expenditures of £76 million, an estimated debt servicing increase of £10 million and a revised revenue estimate reducing revenues by £11 million. The Public Capital Programme estimate was also increased to £490 million from £459 million in the January budget. Total budget deficit was increased by £175 million to £706 million.

July 3

Employers request postponement of introduction of equal pay legislation.

July 11

Supplementary estimate of £6.3 million for bread and flour subsidies agreed.

July 17

Minister for Agriculture announces £15 million scheme to help about 75 000 farmers in disadvantaged areas with about 25 per cent funded by EEC.

July 19

Additional budgetary estimates of £9 million for milk and butter subsidies, £9½ million for transport subsidies, £¾ million for town gas subsidy and £2¼ million for training scheme and employment subsidy were passed.

July 22

EEC Agriculture Ministers agree to devalue "Green £" by 5 per cent.

July 24

Minister for Finance applies for assistance from European Regional Fund for about 100 projects. The total Fund commitment to Irish projects in 1975 is £8 million.

July 29

Adjudication committee of the Employer-Labour Conference finds the Government proposed embargo on special pay increases in the public sector to be in breach of the Pay Agreement.

July 31

Annual report of Industrial Development Authority published with downard revision of 1975 job creation target.

A special delegate conference of the trade unions accepts proposal to modify the 1975 Pay Agreement removing ceilings and floors in the final two stages and substituting pure wage-price indexation.

August 16

Prices Commission proposes that price controls or manufacturing industry be limited to dominant firms.

August 20

Wealth Tax Act 1975 becomes law, with effect from 5 April, 1975.

September 3

Minister for Social Welfare announces that the period of entitlement to pay-related unemployment and sickness benefit is further extended by 78 days to 303 days.

September 4

Minister for Finance requests immediate discussions with the Employer-Labour Conference about the Government's embargo on special pay increases for public service employees.

September 23

Government and unions agree that discussions will commence immediately to decide the manner in which special pay increases for public service employees will be processed.

September 24

The Employer-Labour Conference agree to modify the final two stages of the 1975 Pay Agreement to direct indexation of basic pay rates to prices.

STATISTICAL ANNEX

Table A **Expenditure on Gross National Product**

	1966	1967	1968	1969	1970	1971	1972	1973	1974[1]
				(a) £ *million at current prices*					
Consumers' expenditure	746.2	797.0	910.3	1 034.6	1 149.5	1 294.6	1 484.6	1 776	2 035
Public authorities' current expenditure	135.0	145.0	163.2	189.0	228.3	270.1	335.8	403	506
Gross fixed capital formation	200.0	220.9	258.5	332.2	358.2	422.7	465.2	591	717
Change in stocks and work in progress	7.8	–4.5	16.1	37.1	34.9	17.1	46.8	74	80
Domestic demand	1 089.0	1 158.4	1 348.1	1 592.9	1 770.9	2 004.5	2 332.4	2 844	3 338
Exports of goods and services[2]	376.3	417.7	483.6	536.9	599.9	669.7	774.9	1 017	1 254
Aggregate demand	1 465.3	1 576.1	1 831.7	2 129.8	2 370.8	2 674.2	3 107.3	3 861	4 592
less: Imports of goods and services[2]	436.3	451.4	563.3	666.1	729.5	804.5	894.1	1 208	1 714
Net factor income from abroad	23.2	24.6	31.7	28.3	28.3	26.6	28.9	30	37
Gross national product at market prices	1 052.2	1 149.3	1 300.1	1 492.0	1 669.6	1 896.3	2 242.1	2 683	2 915
				(b) £ *million at constant (1970) prices*					
Consumers' expenditure	938.3	972.8	1 045.6	1 121.1	1 149.5	1 187.0	1 253.9	1 351	1 320
Public authorities' current expenditure	184.3	194.0	202.8	214.9	228.3	247.2	268.3	280	298
Gross fixed capital formation	252.8	269.3	304.7	359.2	358.2	383.6	386.7	445	430
Change in stocks and work in progress	10.9	–7.0	19.0	38.8	34.9	16.6	30.4	42	36
Domestic demand	1 386.3	1 429.1	1 572.1	1 734.0	1 770.9	1 834.4	1 939.3	2 118	2 084
Exports of goods and services[2]	457.4	504.1	548.2	573.5	599.9	623.1	644.1	702	708
Aggregate demand	1 843.7	1 933.2	2 120.3	2 307.5	2 370.8	2 457.5	2 583.4	2 820	2 792
less: Imports of goods and services[2]	522.8	542.6	627.4	711.8	729.5	758.4	804.6	946	911
Net factor income from abroad			35.2	30.2	28.3	25.1	26.0	24	20
Gross national product at market prices			1 528.1	1 625.9	1 669.6	1 724.2	1 804.8	1 898	1 901

1 Preliminary.
2 Excluding factor income flows.

Sources: National Income and Expenditure; Irish submission to the OECD.

Table B **Production, Employment and Other Economic Indicators**

		1965	1966	1967	1968	1969	1970	1971	1972	1973	1974
1	Volume of agricultural output[1] (1968 = 100)	91.9	92.3	94.6	100.0	98.1	99.9	105.7	110.4	110.6	113.2
2	Cattle numbers (thous., mid-year)	5 359	5 590	5 586	5 572	5 688	5 957	6 134	6 438	6 970	7 215
3	Index of industrial production, transportable goods (1953 = 100)	172	180	196	218	235	243	253	264	290	298
	of which:										
4	Mining and quarrying	217	302	365	449	494	526	545	549	549	570
5	Manufacturing	170	175	189	208	224	231	240	251	278	286
6	No. of males engaged in farm work (thousands, 1st June)	330	320	308	299	288	274	265	258	251	245
7	Employment in transportable goods industries (thousands)[2]	183	185	187	194	204	208	207	208	214	216
8	Registered unemployment (thousands)[3 5]	50	48	54	56	55	60	65	72	67	71
9	Weekly hours worked in manufacturing, hours[4]	43.7	43.7	43.5	43.5	43.1	42.5	42.1	42.3	42.4	41.5
10	Value of average weekly retail sales (1968 = 100)	86	88	92	100	111	122	135	152	179	203
11	New private cars registered for the first time (thousands)	43.3	39.5	40.3	51.4	50.5	52.9	51.8	62.6	74.8	61.0

1 Net output (incl. value of changes in livestock numbers).
2 Figures are averages.
3 Figures over the years are not comparable owing to changes in coverage.
4 Establishment data referring to the mid-month week.
5 Coverage changes in 1971 have severely affected comparability.

Sources: Irish Statistical Bulletin; OECD, Main Economic Indicators.

Table C **Prices and Wages**

	1965	1966	1967	1968	1969	1970	1971	1972	1973	1974
1 Agricultural prices (1953 = 100)	118	116	118	130	134	140	150	182	238	242
2 Price per head live weight of bullocks at Dublin auctions (£)[1]	75.5	69.7	69.9	83.5	88.9	97.0	109.4	134.3	176.1	163.7
3 Consumer prices[1] (mid-August 1953 = 100)	144	148	153	160	172	186	203	220	245	287
4 *of which:* Food prices	141	142	144	153	162	174	187	209	244	280
5 Wholesale prices (1953 = 100)	132	134	138	146	156	165	174	192	225	256
6 Industrial prices (1953 = 100)	133	138	143	149	160	168	177	190	216	259
of which:										
Simply transformed goods	112	115	118	123	126	131	134	144	169	209
More elaborately transformed goods	140	147	152	159	173	182	193	207	234	278
7 Minimum weekly wages in agriculture[2] (1953 = 100)	197	213	222	240	284	321	399	436	486	609
8 Average hourly earnings in transportable goods industries[3] (October 1953 = 100)	199	221	233	259	290	340	390	446	540	644

1 Figures are averages.
2 July in each year.
3 Figures are for September (October from 1965 up to 1968).
Source: Irish Statistical Bulletin.

Table D Balance of Payments, 1965-74
OECD Basis
US $ million

	1965	1966	1967	1968	1969	1970	1971	1972	1973	1974
Exports, fob	631	719	739	853	950	1 092	1 272	1 582	2 079	2 470
Imports, fob[1]	947	972	903	1 122	1 342	1 475	1 656	1 897	2 523	3 453
Trade balance	–316	–253	–164	–269	–392	–383	–384	–315	–444	–982
Services, net[2]	149	152	141	157	99	88	78	52	9	40
Balance on goods and services	–167	–101	–23	–112	–293	–295	–306	–263	–435	–940
Private transfers, net	56	61	62	77	96	106	115	131	145	160
Official transfers, net	–3	–4	–4	–3	–2	–1	–4	–6	77	80
Current balance	–114	–44	35	–38	–199	–190	–195	–138	–213	–700
Long-term cap. (excl. spec. trans.)	66	119	70	50	77	151	382	21	268	
(*a*) Private[3]	58	69	64	44	47	121	344	–31	184	
(*b*) Official	8	50	6	6	30	30	38	52	84	
Basic balance	–48	75	105	12	–122	–39	187	–117	55	
Non-monetary sh. term priv. capital[4]	—	—	—	—	—	—	—	—	—	
Non-monetary sh. term off. capital	–6	–6	1	–4	–4	–2	–1	4	–5	
Errors and omissions	3	4	–84	–38	33	34	93	22	–229	
Balance on non-monetary transactions	–51	73	22	–30	–93	–7	279	–91	–179	1
Private monetary institutions' short-term capital[5]	12	11	–75	136	240	—	—	210	64	142
Assets	–38	119	–50	–18	266	—	—			–809
Liabilities	50	–108	–25	154	–26	—	—			952
Balance on official settlements	–39	84	–53	106	147	–7	279	119	–115	143
Use of IMF credit	—	1	—	—	—	—	—	—	—	—
Miscellaneous official accounts	3	–1	–2	—	–1	–1	—	—	—	—
Allocation of SDR's	—	—	—	—	—	13	13	14	—	—
Change in reserves (+ = increase)	–36	84	–55	106	146	5	292	133	–115	143
(*a*) Gold	2	2	2	54	–40	–23	—	1	1	—
(*b*) Currency assets	–38	93	–68	15	176	43	274	112	–107	139
(*c*) Reserve positions in IMF	—	–11	11	37	10	–28	5	6	–5	2
(*d*) Special Drawing Rights	—	—	—	—	—	13	13	14	–5	2

1 Original figures for imports were on a cif basis. They are adjusted to fob basis by deduction of 8 per cent representing the estimates cif-fob margin.
2 Service debits include 8 per cent of imports, as an approximation of the freight content of imports not recorded in original figures.
3 Including non-monetary short-term capital.
4 Included in private long-term capital.
5 For 1970 and 1971, data are included in long-term capital.

Sources: Balance of Payments Submissions to OECD; IMF, Balance of Payments Yearbook; Central Statistical Office, Irish Statistical Bulletin; BIS, External Monetary Position of OECD Countries; IMF, International Financial Statistics.

Table E **Foreign Trade and Payments**

		1965	1966	1967	1968	1969	1970	1971	1972	1973	1974
1	Imports, £ million, monthly averages	32.3	33.1	34.6	43.0	51.1	56.4	62.9	69.8	94.8	135.6
2	Exports, £ million, monthly averages	20.1	22.8	26.2	30.3	33.7	38.9	44.9	54.0	72.4	93.7
3	Trade balance, £ million, monthly averages	–12.2	–10.3	–8.4	–12.7	–17.4	–17.5	–18.0	–15.8	–22.4	–41.9
4	Volume of imports (1968 = 100)	80.8	82.7	87.0	100.0	114.3	118.0	124.1	131.8	158.5	155.2
5	Volume of exports (1968 = 100)	72.4	80.7	92.8	100.0	104.9	113.5	121.7	129.1	141.3	147.8
6	Import prices (1968 = 100)	92.9	92.9	92.3	100.0	104.0	111.1	117.8	123.2	139.1	203.1
7	Export prices (1968 = 100)	91.6	93.2	93.2	100.0	106.1	113.1	121.8	138.2	169.1	209.1
8	Terms of trade (1968 = 100)	98.5	100.3	100.9	100.0	101.9	101.8	103.4	112.2	121.5	103.0
	Reserves ($ million, end of period):										
9	Gold	21	23	25	79	39	16	17	17	18	18
10	Currency assets	377	471	403	418	594	637	911	1 023	916	1 055
11	Reserve position in IMF	11	—	11	48	58	30	38	44	39	41
12	SDR holdings	—	—	—	—	—	13	29	43	38	40
13	Total	409	494	439	545	691	697	995	1 126	1 011	1 154

Sources: Irish Statistical Bulletin; Central Bank of Ireland Quarterly Bulletin; IMF, International Financial Statistics (lines 9-13).

INTERNATIONAL COMPARISONS

BASIC STATISTICS : INTERNATIONAL COMPARISONS

				Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland
POPULATION		Mid-1973	Thousands	13 132	7 521	9 742	22 125	5 027	4 643 [2]	52 177	61 967	8 972	212	3 051
Net average annual increase		1963 to 1973	%	1.87	0.48	0.48	1.55	0.71	0.26	0.88	0.77	0.57	1.37	0.68
EMPLOYMENT	Total civilian	1973	Thousands	5 640	3 039	3 818	8 759	2 385	2 153	20 953	26 202	(3 320)	(88)	1 042
	Agriculture		% of total	7.2	16.1	3.9	6.5	9.5	17.1	12.2	7.5	(34.1)	(15.9)	25.1
	Industry [6]			35.5	40.1	43.3	31.3	33.8	35.7	39.3	49.5	(25.7)	(37.5)	30.7
	Other			57.3	43.8	52.8	62.2	56.7	47.1	48.5	43.0	(40.2)	(46.6)	44.2
PRODUCTION	GDP [7] per head	1973	$ [8]	4 900	3 550	4 650	5 410	5 460	3 720	4 900	5 610	1 790	4 870	2 130 [13]
GDP by sector:	Agriculture	1973	% of total	7.1 [9 10 11]	5.8	3.9	5.2 [11]	8.2 [11]	12.0	6.3	2.9	20.4 [11]	..	18.0 [11 13]
	Industry			41.4 [9 10 11]	50.1	40.1	36.2 [11]	39.9 [11]	44.2	93.7	52.1	32.4 [11]	..	33.8 [11 13]
	Other			51.5 [9 10 11]	44.1	56.1	58.6 [11]	51.9 [11]	43.8		45.0	47.2 [11]	..	48.2 [11 13]
GDP [7 14] annual volume growth		1973	%	5.6	5.5	5.4	6.8	3.9	6.0	6.0	5.3	9.4	6.2	7.2
		1968 to 1973		5.1	6.4	5.5	5.2	4.7	6.8	6.0	5.1	8.9	6.3	4.6
INDICATORS OF LIVING STANDARDS	Private consumption per head	1973	$	2 850	1 870	2 810	3 080	3 050	1 910	2 913	3 000	1 200	2 990	1 370
	Public expenditure on education	1970	% of GNP	4.3	4.7	5.4 [15]	8.6	7.0	6.3	4.7	4.0	2.2	4.3	4.8 [15]
	Passenger cars, per 1 000 inhabitants	1971	Number	314	177	212	321	231	163	260	239	30	222	140
	Television sets, per 1 000 inhabitants	1972		227	226	236	349 [10]	282	256	237	293	31 [10]	220	173
	Telephones, per 1 000 inhabitants	1972		340	226	240	499	377	295	199	268	160	370	114
	Doctors, per 1 000 inhabitants	1971		1.25	1.87	1.60	1.50	1.41 [12]	1.11	1.38	1.71 [12]	1.67	1.44	1.09 [15]
GROSS FIXED INVESTMENT [14]	Total	1968-72 average	% of GDP [7]	25.8 [9]	29.0	20.8	21.4 [18]	23.6	24.1	26.3	25.9	25.7 [19]	28.7	24.2
	Machinery and equipment			10.9	12.5	8.8	7.9	12.1	8.9	12.0	12.4	8.2	8.6	12.2
	Residential construction			5.2	16.5 [24]	4.7	4.4	4.6	5.8	6.5	5.2	8.0	5.3	4.3
	Other construction			9.7	— [24]	7.3	9.1	6.9	9.4	7.8	8.3 [25]	9.5	14.8	7.7
WAGES/PRICES	Hourly earnings [26]	Annual increase 1967 to 1972	%	7.6 [27 28]	9.3 [29]	10.2	8.2 [27]	12.4 [30]	11.8	11.3 [31]	9.3 [27]	8.3 [27]	18.3 [32]	13.5 [27]
	Consumer prices			4.2	4.3	4.0	3.9	6.2	5.5	5.6	3.8	2.6	13.3	7.6
	GDP [7] deflator			5.8	4.4	4.6	4.0	6.4	6.5	5.5	5.2	2.9	17.2	9.3
FOREIGN TRADE	Imports [42]	1972	$ million [8]	6 180	6 290	14 570	23 130	6 080	3 680	32 070	51 150	2 530	300	2 240
			% of GDP [7]	13.2	30.9	40.9	21.8	28.6	27.4	16.4	19.9	20.7	39.5	40.6
	Exports [42]		$ million [8]	7 500	6 220	15 430	23 750	6 240	3 700	33 760	55 730	1 470	290	1 930
			% of GDP [7]	16.0	30.5	43.4	22.4	29.4	27.5	17.2	21.6	12.0	38.2	35.0
BALANCE OF PAYMENTS	Current balance	1968-72 average	% of GNP	–2.1 [9]	–0.4	2.5 [44]	0.0	–2.1	–1.2	–0.2	0.8	–3.6	–4.2	–3.3
Official reserves [43], end-1973: per cent of imports of goods in 1973			%	88.3	42.4	23.3 [44]	24.7	17.2	14.8	22.8	60.8	30.1	28.1	36.7
	Change	Sept. 1974 - Sept. 1975	Mill. SDR's	– 109	942	603 [44]	–412	88	–79	1 970	–672	2	–3	155

				Italy	Japan	Luxem-bourg	Nether-lands	New Zealand	Norway	Portugal	Spain	Sweden	Switzer-land	Turkey	United Kingdom	United States	Yugo-slavia [1]
POPULATION		Mid-1973	Thousands	54 888 [3]	108 350 [4]	350	13 438	2 932	3 961	8 564	34 730	8 138	6 431	37 930	56 026	210 404	20 960
Net average annual increase		1963 to 1973	%	0.70	1.22	0.77	1.17	1.46	0.77	–0.46	1.06	0.68	1.09	2.49	0.43	1.07	0.95
EMPLOYMENT	Total civilian	1973	Thousands	18 310	52 330	154	4 564	1 137	1 654	(3 109)	12 844	3 879	3 097	13 810	24 553	84 409	8 009 [5 10]
	Agriculture		% of total	17.4	13.4	9.0	6.8	12.1	11.4	(28.8)	26.5	7.1	(7.3)	63.4	3.0	4.1	49.5
	Industry [6]			44.0	37.2	48.6	36.2	34.7	33.9	(33.8)	38.0	36.8	(46.2)	15.1	42.3	31.7	50.5
	Other			38.6	49.4	42.4	57.1	53.2	54.7	(37.4)	35.5	56.1	(46.5)	21.5	54.7	64.2	
PRODUCTION	GDP [7] per head	1973	$ [8]	2 510	3 760	5 200	4 410 [13]	4 080 [17]	4 780	1 250	1 750	6 140	6 190	540	3 100	6 170	792 [13]
GDP by sector:	Agriculture	1973	% of total	8.8	5.9	4.4 [11 13]	5.3 [11 13]	18.8 [13]	5.6	16.3 [11]	12.7 [11]	3.8	..	26.1	3.0 [11]	4.4	16.6 [11 13]
	Industry			41.2	48.3	57.5 [11 13]	44.9 [11 13]	28.0 [13]	33.4	43.2 [11]	35.5 [11]	36.6	..	28.8	42.4 [11]	33.9	46.6 [11 13]
	Other			50.0	45.9	38.1 [11 13]	49.8 [11 13]	53.2 [13]	61.0	40.6 [11]	51.8 [11]	59.6	..	45.1	54.6 [11]	61.7	36.8 [11 13]
GDP [7 14] annual volume growth		1973	%	6.4	11.0	7.5	4.2	4.8 [17]	3.7	7.6	7.4	3.3	3.5	4.6	5.3	5.9	..
		1968 to 1973		4.3	9.5	5.2	5.3	3.1 [17]	4.5	6.4	7.0	3.2	4.6	6.2	2.8	3.6	..
INDICATORS OF LIVING STANDARDS	Private consumption per head	1973	$	1 620	1 910	2 780	2 430	2 410 [17]	2 530	900	1 170	3 240	3 640	320	1 960	3 840	425 [13]
	Public expenditure on education	1970	% of GNP	4.3	4.1	4.4	7.3 [15]	4.4 [15]	5.9	2.0	2.4	7.8	4.2	2.9	5.5 [15]	5.4 [15]	4.3 [16]
	Passenger cars, per 1 000 inhabitants	1971	Number	209	100	296	211	324	206	72	81	290	233	4 [12]	219	443	42
	Television sets, per 1 000 inhabitants	1972		202	225	220 [10]	243 [10]	250	241	63	145	333	239	4	305	474	113
	Telephones, per 1 000 inhabitants	1972		206	315	361	299	458	320	99	164	576	535	19	314	628	44
	Doctors, per 1 000 inhabitants	1971		1.83	1.15	1.07	1.31	1.16	1.45	0.98	1.39	1.36 [12]	1.67	0.45	1.29	1.57 [12]	1.06
GROSS FIXED INVESTMENT [14]	Total	1968-72 average	% of GDP [7]	19.8	38.7	23.6	25.3	..	..	19.0	24.2	23.1	27.8 [20]	16.9 [21]	19.6	17.0 [22]	..
	Machinery and equipment			8.4	32.1 [23]	..	10.5	..	..	8.8	12.8	8.6	9.5	5.8	9.5	7.0 [22]	..
	Residential construction			5.9	6.6	..	5.7	..	..	2.7	3.7	5.0	7.1	3.3	3.5	3.5	..
	Other construction			5.5	— [23]	..	9.1	..	..	7.5	7.7	9.5	11.2	7.8	6.6	6.5	..
WAGES/PRICES	Hourly earnings [26]	Annual increase 1967 to 1972	%	11.2 [33]	15.6 [34]	..	10.4 [35]	10.3 [37]	10.0 [30]	10.2 [36]	12.6 [37]	9.9 [38]	6.5 [39]	12.8 [37]	9.6 [40]	6.0 [41]	16.1 [36 37]
	Consumer prices			3.9	5.8	3.9	6.2	6.5	6.1	8.6	5.8	5.0	4.3	10.5	6.6	4.6	11.3
	GDP [7] deflator			5.0	4.8	5.9	6.6	6.9 [17]	..	4.3	6.0	5.2	6.0	10.5	6.6	4.4	..
FOREIGN TRADE	Imports [42]	1972	$ million [8]	23 600	24 910	1 050	20 100	1 980	5 810	2 630	7 250	9 590	9 710	1 400 [10]	33 620	74 830	3 820
			% of GDP [7]	20.1	8.5	77.8	43.4	23.1	38.3	32.2	16.2	23.2	32.6	10.9	21.8	6.3	23.2
	Exports [42]		$ million [8]	24 040	31 800	1 100	21 320	2 320	6 060	2 220	7 190	10 110	9 720	900 [10]	33 350	62 690	3 480
			% of GDP [7]	20.4	10.8	81.5	46.1	27.1	39.9	27.1	16.1	24.4	32.7	7.0	21.6	5.3	21.2
BALANCE OF PAYMENTS	Current balance	1968-72 average	% of GNP	2.1	1.7	—	0.3	1.4	–1.0	3.3	0.5	–0.1	1.3	–0.5	0.8	–0.2	..
Official reserves [43], end-1973: per cent of imports of goods in 1973			%	23.1	32.0	—	26.9	119.8	25.3	99.1	70.3	23.9	69.5	102.8	16.7	20.8	32.9
	Change	Sept. 1974 - Sept. 1975	Mill. SDR's	–1 420	304	—	297	–194	259	–502 [45]	109 [45]	994	130	–787 [45]	–1 024	414	–262

[1] [10 11 75]

1 National source.
2 Does not include total net migration between Finland and the other Nordic countries.
3 Total resident population.
4 From 1972; including Okinawa prefecture.
5 Private and socialised sector.
6 According to the definition used in OECD Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
7 GDP at current prices.
8 At current prices and exchange rates.
9 Fiscal year-Beginning July 1st.
10 1971.
11 GDP at factor cost.
12 1970.
13 1972.
14 At constant (1970) prices.
15 1969.
16 1968.
17 Fiscal year-Beginning April 1st.
18 Excluding transfer costs of land and existing assets.
19 Excluding ships operating overseas.
20 1965-1969.
21 1967-1971.
22 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
23 " Other construction " included under " machinery and equipment ". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
24 " Other construction " included in " residential construction "
25 Including transfer costs of land.
26 Industry.
27 Manufacturing.
28 Males.
29 Monthly, wage earners.
30 Mining and manufacturing, males.
31 Hourly rates in manufacturing.
32 Hourly wages rates, unskilled workers.
33 Hourly rates in manufacturing, excluding family allowances.
34 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
35 Hourly rates in industry, males.
36 Monthly.
37 Manufacturing, including salaried employees.
38 Mining and manufacturing.
39 Hourly rates.
40 Hourly rates in manufacturing, males.
41 Manufacturing, gross earnings per production worker.
42 Goods and services, excluding factor income.
43 Including reserve position in the IMF and special drawing rights.
44 Including Luxembourg.
45 August 1974 - August 1975.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries, except Yugoslavia (for special national sources see above): OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Balance of Payments, Observer, Statistics of Foreign Trade (Series A); Office Statistique des Communautés Européennes, Statistiques de base de la Communauté; IMF, International Financial Statistics; UN, Statistical Yearbook.

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